

Article | 7 July 2026

FX RATES FRANCE

France's Marine Le Pen back in the presidential race as fiscal challenges loom large

Marine Le Pen can now run for president in 2027, setting the stage for a highly uncertain campaign against the backdrop of France's worsening fiscal outlook



RN parliamentary party leader Marine Le Pen leaves the Paris courthouse after hearing of the verdict in her appeal trial

Le Pen can run for president

Marine Le Pen was convicted in March 2025 in a case concerning the misuse of European Parliament assistants by the former Front National. She was sentenced to four years in prison, including two years suspended, fined EUR 100,000, and barred from holding public office for five years with immediate effect. This ruling has now been reviewed on appeal.

The appeal court upheld her conviction today, but modified the sentence. She has been sentenced to three years in prison, including two years suspended, meaning that she will serve one year under electronic monitoring. She has also been banned from holding public office for 45 months, of which 30 months are suspended. As the period of ineligibility began in March 2025, the first 15 months have elapsed. As a result, she is now officially eligible to run in the

2027 presidential election.

On Tuesday evening, she officially announced that she would be the Rassemblement National (RN) candidate in the presidential election and that Jordan Bardella would serve as her Prime Minister if she won. She believes that she will not have to wear an electronic monitoring bracelet because she has decided to appeal to the Court of Cassation, at the risk that the decision might once again prove to be more serious than the one announced today. The Court of Cassation should deliver its ruling at the beginning of 2027. In short, Marine Le Pen has chosen to run for office, but significant uncertainty remains regarding her legal situation, and this is likely to overshadow the campaign.

Where does the campaign stand?

The presidential campaign remains highly uncertain. The number of potential candidates is still very large, reflecting the continued fragmentation of the French political system. French political history shows that opinion polls remain highly volatile nine months before a presidential election. Being the frontrunner at this stage does not guarantee victory.

Three leading candidates currently stand out on the centre-right and right: Édouard Philippe (Horizons), Gabriel Attal (Renaissance, the former party of Emmanuel Macron), and Bruno Retailleau (Les Républicains, representing the traditional conservative right). On the left, Jean-Luc Mélenchon has already announced his candidacy and remains the most visible figure of the radical left. Raphaël Glucksmann is regularly tested in polls as a social-democratic and pro-European candidate. Marine Tondelier (Greens) and Fabien Roussel (French Communist Party) also feature in various electoral scenarios.

What do the polls say?

The most striking feature of recent polling is the RN's lead. The RN's candidate is generally credited with around 35% of voting intentions, well ahead of centrist candidates (typically between 15% and 20%) and left-wing candidates (around 10% to 15% for both Mélenchon and Glucksmann).

Based on current polling, the RN would therefore dominate the first round of the election. However, without knowing whether some centrist or left-wing candidates will eventually withdraw to avoid splitting the vote, it is difficult to identify the RN's likely opponent in the second round. A run-off between the RN candidate and either Édouard Philippe or Gabriel Attal is often discussed, but a unified left rallying behind Raphaël Glucksmann could also lead to an RN-Glucksmann contest.

In the coming months, two issues deserve close attention: the left's ability to unite behind a single candidate and the competition between Édouard Philippe and Gabriel Attal for leadership of the centrist bloc.

Regardless of who wins the presidential election, it is likely that the new president would dissolve the National Assembly shortly afterwards in an attempt to secure a governing majority, as the current fragmentation of parliament severely limits the scope for reforms. If a stable majority were to emerge following both the presidential and legislative elections, visibility on France's economic policy outlook could improve significantly compared with the current situation. But the risk that a stable majority does not emerge is quite large.

What does the RN's programme look like?

Compared with the RN of 2017, the most significant change is its transformation from a Eurosceptic party advocating a break with the European institutional framework into a party seeking to reshape the European Union from within. Proposals to leave the euro area and hold a referendum on EU membership have disappeared from its programme. Nevertheless, the party remains highly critical of European integration and of what it sees as a loss of national sovereignty.

On public finances, the RN regularly criticises European fiscal constraints, the Stability and Growth Pact, excessive deficit procedures, and austerity policies. Its argument is generally that European rules limit the French state's ability to protect the domestic economy. The party also maintains that France's contribution to the EU budget should be reduced.

At the same time, the RN advocates cuts to production taxes and reductions in VAT. Its position on pensions remains unclear. Marine Le Pen initially defended a retirement age of 62 and even 60 for those with long careers, while Jordan Bardella has recently suggested abandoning the focus on the statutory retirement age and instead considering only the number of years of contributions. At this stage, the RN's discourse is much more detailed regarding spending reallocations than regarding an explicit strategy for stabilising public debt over the long term. It is also considerably less committed to a rapid deficit reduction path than centre-right or traditional conservative parties.

Overall, given the precedent set by Giorgia Meloni's government in Italy and the RN's efforts to appear more business-friendly by dropping references to "Frexit", a potential RN victory is viewed by financial markets as less disruptive than in previous presidential elections. However, the party's programme remains highly vague at this stage, and market perceptions could change as policy proposals become more concrete.

That said, even in the event of an RN victory in the presidential election, it appears unlikely that the party would simultaneously secure an outright majority in the National Assembly. The need to form a coalition government could therefore moderate some of the most controversial elements of its programme.

Public finance challenges will weigh heavily on the campaign

The coming months are likely to be dominated by budgetary discussions, which are expected to be particularly difficult. This morning, the government revised down its 2026 GDP growth forecast to 0.7%, significantly below the 1.0% assumption used when the budget was drafted at the beginning of the year.

As a result, the government's objective of reducing the fiscal deficit to 5% of GDP this year from 5.1% in 2025 has become even more challenging. Expenditure is running higher than expected due to rising interest payments on public debt and continued support measures related to the energy shock, while revenue is underperforming because of weaker economic growth. A EUR 6 billion spending cut for this year is currently being discussed, although no concrete measures have yet been identified.

The 2027 budget is likely to be even more complicated given the presidential election campaign. With no parliamentary majority currently in place, the prospects for agreement across political groups on a restrictive budget during an election campaign appear limited. Last May, the European Commission estimated that, under a no-policy-change scenario, France's fiscal deficit would reach 5.7% of GDP in 2027, pushing public debt to 120.2% of GDP, compared with around 100% at the beginning of 2020.

Charlotte de Montpellier

Rates: Bond markets want to see fiscal improvements, regardless of who brings them

Bond markets have shown a muted reaction to the headlines surrounding Le Pen. One reason is that the RN has an alternative candidate in Jordan Bardella, who currently polls slightly ahead of her. Another is that markets remain primarily focused on France's fiscal trajectory.

Current economic headwinds make it more difficult to bring down the deficit, and political uncertainty also muddies the trajectory for coming years. Spreads of 10y French government bonds over their German peers have already widened back towards the 80bp mark in the past week, although the level overstates the widening somewhat given a maturity mismatch between the current benchmark bonds. Looking at an interpolated 10y spread, we are more or less at the average spread going back to when snap elections were called in June 2024, setting off the more volatile environment for French bonds. As such, we still think that markets are lacking the clarity and confidence for material relief in spreads.

Benjamin Schroeder

FX: EUR/CHF the clearest barometer of renewed political risk

The FX market is not currently looking at the French political and budget story. This follows a recurring script of recent years, where France-specific risk emerges as a key driver for the euro only once the bond market shows real signs of stress. For now, FX investors simply aren't concerned about the recent widening in French spreads.

In the run-up to the April election, we expect elevated scrutiny of RN's fiscal plans. Any headlines suggesting a looser approach to fiscal consolidation could spill over into the euro: we would expect that to become primarily visible in EUR/CHF weakness, as the franc is historically the quintessential hedge to EU risk.

For the moment, our baseline assumption is that – barring a surge in support for Mélenchon – any negative euro impact in coming months will likely prove short-lived as the RN and other parties closer to the centre will be careful not to cause serious OAT volatility during the campaign.

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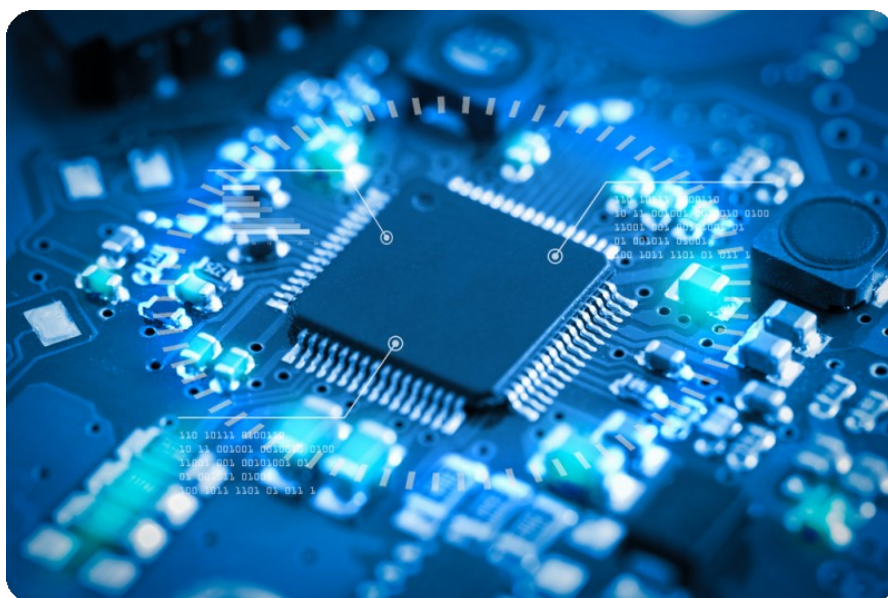
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TMT UNITED STATES

Why tech investors are reevaluating AI investments

AI investment remains a positive long-term story for Big Tech, but investors may see slower EPS growth and lower valuation multiples as infrastructure spending increases depreciation costs and reduces share buybacks. We examine the valuation implications for the largest tech firms, and how risks differ for companies from OpenAI to Anthropic



Strong AI demand is clear, but the future returns on today's spending remain uncertain

Future earnings uncertainty may drive equity volatility

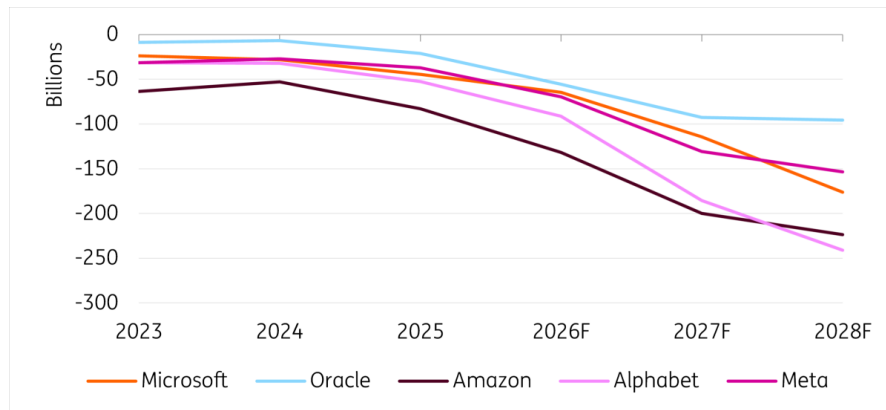
We see a positive future for large technology providers, as the adoption of AI-based services continues to increase. Expected revenues are set to climb, as is EBITDA, [as noted here](#). Yet investors remain nervous. Technology stocks have recently shown large intraday declines. During the first half of 2026, Microsoft's share price declined by 20%, while Oracle fell by 27%. Alphabet, on the other hand, rose by 14%.

In this note, we discuss the factors behind this share price volatility. Although we think the overall technology market can sustain heavy investment in new AI data centre infrastructure, earnings per share growth is likely to slow, influencing equity valuations. Broadly speaking, most credit profiles continue to look fine. Nevertheless, some companies such as OpenAI,

Anthropic and Oracle are investing at a pace that exceeds incoming cash flows.

Current investments are up (US\$)

More negative values indicate higher investment spending



Source: Refinitiv, ING

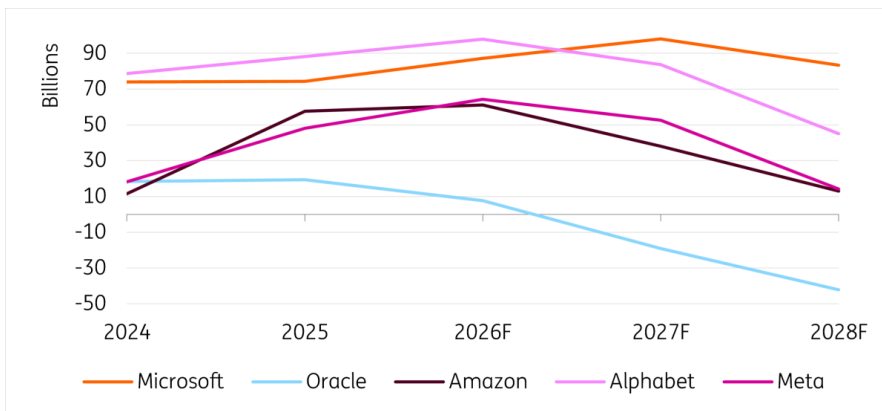
(Fiscal reporting year; Oracle has reported results for 2026)

Not a problem: Investing in building the infrastructure of the future

Despite some occasional doom-mongering by regulators such as the Bank for International Settlements, we think current investments in AI infrastructure are made based on sound economic rationale. For example, Microsoft invested US\$65bn in Cloud and AI infrastructure in F2025, and the company reports annualised run-rate revenues from AI-based services of US\$37bn. This shows there's demand for its investments. Also, technology companies have stated that they cannot deploy AI capacity fast enough to meet customer demand. It means demand for AI computing exceeds supply.

Importantly, most companies can fund these investments through operating cash flow. As a result, industry leaders have little need to take on additional debt, and their balance sheets generally remain strong. The ability to cover investments from existing cash flow can be seen in the chart above (where EBITDA is used as a proxy for operating cash flows). As widely documented, Oracle is a bit of an outlier, with a more aggressive investment programme. This will be discussed below.

EBITDA - Capex (US\$)



Source: Refinitiv, ING

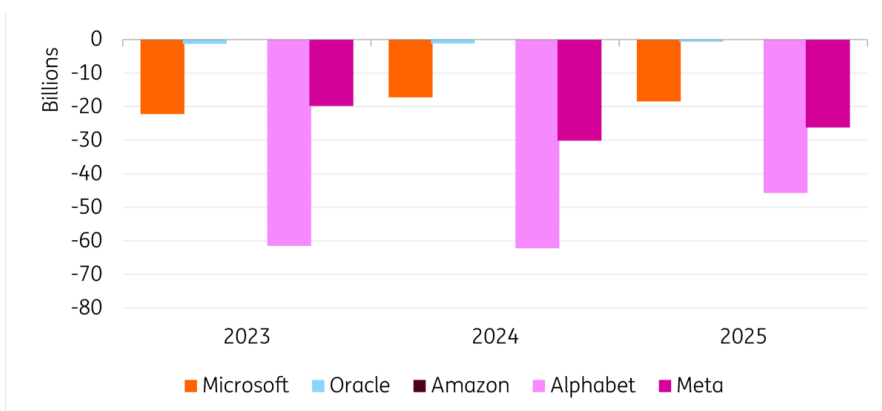
(Fiscal reporting year; Oracle has reported results for 2026)

Investors may wonder when share buybacks will return

As investment spending rises, though, free cash flow (EBITDA less capex) is likely to be lower than in the past, as the benefits to revenue growth may take time to materialise. This reduces the scope for large shareholder returns in the form of share buybacks. As can be seen from the chart below, share buybacks have been material for Microsoft, Alphabet and Meta.

Alphabet has reduced its share count by 9.5% through buybacks from YE20 to YE25. This provided a positive tailwind for its earnings per share (EPS) metric; profits are now divided by fewer shares. Growth in this metric is important when evaluating equity valuations based on EPS. This is because the multiple can fall over time as EPS grows. Although investments can be funded with cash flows, equity investors may need to evaluate future EPS growth and a company's ability to buy back shares.

Share buybacks - historical data (US\$)



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

What to watch when evaluating equity valuations

On a trailing 12-month basis, the Nasdaq trades on a price-to-earnings ratio of around 35x. This is above the 24x level seen at the end of 2022 but below the 40x peak reached in 2021 and 2024. Given expectations for strong earnings growth, however, forward valuations are arguably more relevant. On a two-year forward basis, the Nasdaq trades at around 20x earnings, close to the lower end of its historical range.

Without the support of share buybacks, investors may be less willing to pay 40x earnings multiples in future. The trajectory of EPS growth will depend not only on the revenues generated by AI investments, but also on whether rising costs, including depreciation charges, offset some of those gains.

What if depreciation catches up with capex?

As the first chart shows, investment levels are higher than a few years ago. This matters because these investments must ultimately be depreciated. If revenues from AI-based services take time to materialise, rising depreciation charges could put pressure on operating margins. This risk is particularly relevant for AI infrastructure. Server hardware typically has a shorter replacement cycle than traditional data-centre assets, resulting in higher depreciation rates.

Case in point: Alphabet. Based on consensus estimates, its FY26 capex-to-sales ratio is expected to reach around 44%, while depreciation is projected to be 14% of sales. If depreciation charges rise over time to reflect this higher level of investment, profit margins could come under pressure, creating a headwind for earnings per share. For Microsoft, the equivalent figures are 35% and 14%, while Amazon is expected to post ratios of 24% and 13%, respectively.

During periods of heavy investment, capex typically exceeds depreciation. The AI sector is currently in such a phase. The key questions for investors are whether these investments generate returns above the cost of capital and whether the anticipated revenue growth ultimately materialises.

Company specific sources of uncertainty

As discussed above, we believe most of the uncertainty, and therefore much of the volatility, stems from questions around project returns and fair valuations. However, investors must also contend with several company-specific risks associated with the current AI investment boom. This is particularly the case with Oracle, Nvidia, OpenAI and Anthropic.

How should we look at Oracle's investment objectives?

Oracle has announced ambitious plans to support Project Stargate, a large-scale US AI infrastructure programme. However, its internal cash generation is lower than that of

Microsoft and Alphabet. As a result, Oracle's projected EBITDA less capex is expected to turn negative (based on Refinitiv's consensus forecast), despite the company already operating with relatively low investment-grade credit ratings. While Oracle's balance sheet remains sound, its access to funding is more constrained than larger peers. To preserve its investment-grade rating, the company may ultimately need to raise additional equity capital. So, volatility in Oracle's share price is driven by factors different from those affecting most large technology companies.

Can Nvidia maintain its profit margins?

Nvidia's operating margin could exceed 60% in FY26, according to consensus estimates. This makes sense, as it designs state-of-the-art semiconductors that are in high demand. However, major customers such as Microsoft, Alphabet and Amazon are developing their own custom chips to help manage AI infrastructure costs (capex efficiency). As these capabilities are expanded, Nvidia's pricing power may face greater competition than it has in recent years. This could make today's exceptionally high margins harder to sustain over the long term, even as the company expands into new business lines.

How to view companies developing Gen AI models

Companies such as OpenAI and Anthropic are developing state-of-the-art models for generative AI. They're investing huge sums to become leaders in the field and to develop models specific to customer workflows. OpenAI appears willing to tolerate significant cash burn to establish a dominant position, much as Netflix did in streaming and Amazon did in e-commerce and cloud computing. Yet the long-term economics of AI remain less proven than those earlier industries at similar stages of their development.

AI's long-term value remains uncertain

When evaluating the developments in the market, we don't see evidence of unsustainable investment. How, then, should we explain the volatility in share prices and the steady stream of news articles highlighting concerned investors and regulators? In our view, the market is undergoing a process of price discovery, assessing how to value the future returns from AI-related investments. Key sources of uncertainty include the revenue contribution of AI infrastructure spending, the associated profit margins, and the possibility of slower EPS growth.

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Article | 7 July 2026

FX

Treasury FX report preview: Manipulation thresholds not breached despite USD decline

The summer edition of the US Treasury's FX report (covering 2025) looks unlikely to label any country a currency manipulator, as no trading partner breached all three criteria despite USD depreciation, according to our estimates. Still, the Swiss National Bank may be turning more cautious on intervention to stay within the Treasury's thresholds



We do not expect the summer edition of the US Treasury's FX report to label any country as a currency manipulator

The US Treasury should publish the summer edition of its semi-annual Report on Foreign Exchange Policies of Major Trading Partners (the "FX Report") soon. The report is prepared under two legislations:

- The 1988 law requiring the Treasury to identify foreign exchange manipulators
- The 2015 law introducing three quantitative criteria (chart below) – thresholds have been revised over time – for evaluating trade and FX practices.

FX report criteria thresholds

Criteria	Threshold (4Q rolling)
Significant bilateral trade surplus with the US	>15\$bn goods and services surplus
Material current account surplus	>3% of GDP
Persistent, one-sided intervention	Net FX purchases for at least 8 of 12 months' worth >2% of GDP

Source: US Treasury, ING

No manipulator labels, unchanged monitoring list

The summer edition covers January-December 2025, with the Treasury set to assess the three quantitative criteria, which we attempt to replicate in the table below.

Our baseline assumption is that a country is labelled an FX manipulator if all three criteria are met. As no country appears to have breached all three thresholds, we expect no manipulator designations this summer.

The report also updates the Monitoring List for enhanced scrutiny, including countries meeting two criteria or contributing disproportionately to the US trade deficit. Removal typically requires missing two criteria for two consecutive reports. The January 2026 list included China, Japan, Korea, Taiwan, Thailand, Singapore, Vietnam, Germany, Ireland and Switzerland, and we expect it to remain unchanged.

ING's estimates for the FX report's criteria

	Goods and services surplus with US (\$bn)	Current account balance (% of GDP, trailing 4Q)	Net FX purchases (% of GDP, trailing 4Q)	Net FX purchases (8 of 12 Months)
Mexico	203	-0.6	0.0	No
China*	202	3.7	-0.5	No
Vietnam**	178	6.4	-0.2	No
Taiwan	146	19.4	0.8	No
Ireland	114	8.2	-	-
Germany	73	4.5	-	-
Japan	64	4.9	0.0	No
India	58	-0.5	-1.3	No
Korea	57	6.7	-1.5	No
Canada	55	-1.0	0.0	No
Switzerland	32	6.4	0.6	Yes
Italy	32	1.1	-	-
Malaysia**	31	1.6	1.0	No
Thailand**	22	2.8	0.7	Yes
France	19	-0.3	-	-
Singapore	-4	16.7	3.1	Yes
Australia	-5	-2.7	0.0	No
Brazil	-14	-2.9	-0.2	No
UK	-32	-3.1	0.0	No

Figures in red are above the criteria's thresholds. Estimates are based on disclosed interventions when available or through the valuation-adjusted change in FX reserves, attempting to replicate the US Treasury's methodology.

*China's FX interventions estimated via monthly changes in the PBOC's foreign exchange assets ** Malaysia, Thailand and Vietnam convey intervention numbers privately to the Treasury, making it harder to estimate via FX reserves, we present ballpark estimates here. Source: ING estimates, Macrobond, IMF, Central bank disclosures

Context matters

The fundamental aim of the FX Report is to flag practices that artificially prevent appreciation of trading partners' domestic currencies, potentially granting a competitive trade advantage. This edition is notable as it cleanly captures 2025, a period of sharp USD depreciation, unlike the previous report, which mixed in late-2024 dollar strength.

A number of central banks stepped in with FX intervention to fight home currency appreciation in the Spring/Summer of 2025. This resulted in a slew of bilateral statements between the Treasury and other monetary authorities (Japan, Switzerland, Korea, Malaysia, Thailand, Taiwan), [which we discussed them in our previous edition's preview](#).

These agreements suggest, in our view, that the Treasury is not looking to designate manipulators at this stage. The dollar's rebound in 1H26 supports this, as intervention metrics should mechanically fall in the next report.

Switzerland keeping an eye on its metrics

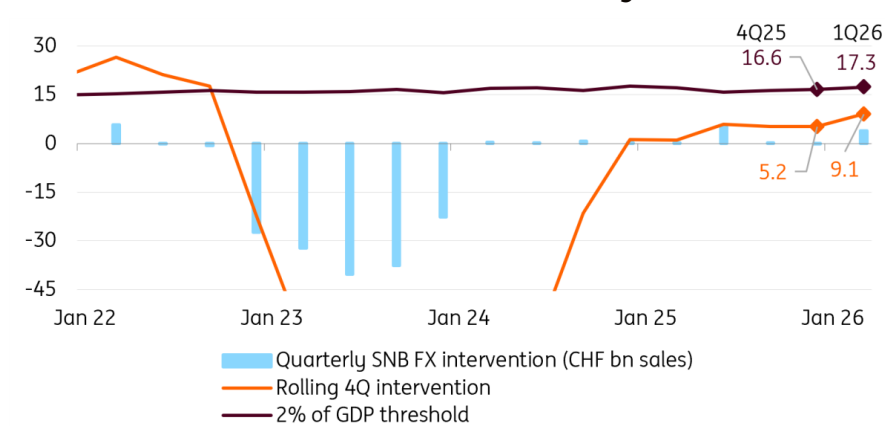
Taiwan, Switzerland and Thailand meet the trade surplus and current account criteria and, in our estimates, posted positive FX intervention in 2025, but remained below the 2% of GDP

threshold. Switzerland stands out, as CHF appreciation pressures re-emerged at the start of 2026.

The Swiss National Bank explicitly uses FX intervention as a policy tool. After heavy FX selling in 2023, it returned to purchases in 2025 to counter CHF strength. This drew scrutiny from the US Treasury, with a September 2025 joint statement clarifying that intervention is legitimate when aimed at curbing excessive volatility or disorderly moves and safeguarding price stability, rather than gaining a trade advantage.

However, it remains unclear whether this shields Switzerland from FX Report scrutiny if intervention exceeds the 2% threshold, leaving some uncertainty for the SNB. Official data show intervention at CHF 5.2bn (0.5% of GDP) in 2025 and CHF 9.1bn (0.8% of GDP) over the four quarters to 1Q26, versus a rolling 4Q threshold just above CHF 17bn.

SNB FX intervention and Treasury's threshold



Source: SNB, ING

All this could make the SNB more cautious on intervention, as markets may assume policymakers want to avoid breaching the threshold and potentially reigniting trade tensions with the US. This might fuel bullish CHF speculative bets if intervention is seen as constrained.

It helps explain why we do not expect significant CHF weakness over the next year. The SNB may only step in aggressively if EUR/CHF trades aggressively sub-0.90.

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The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 30 June 2026

AUSTRALIA INDIA

Asia's consumer recovery: winners and laggards

Consumption in Asia is recovering on easing inflation, rising asset prices, and stronger incomes, but unevenly. Structural gaps in savings, wealth mix, and income drivers are widening the divide between outperformers (Japan, Australia, Singapore, India) and slowing ASEAN economies

Vector Globe EPS10



Source: Shutterstock

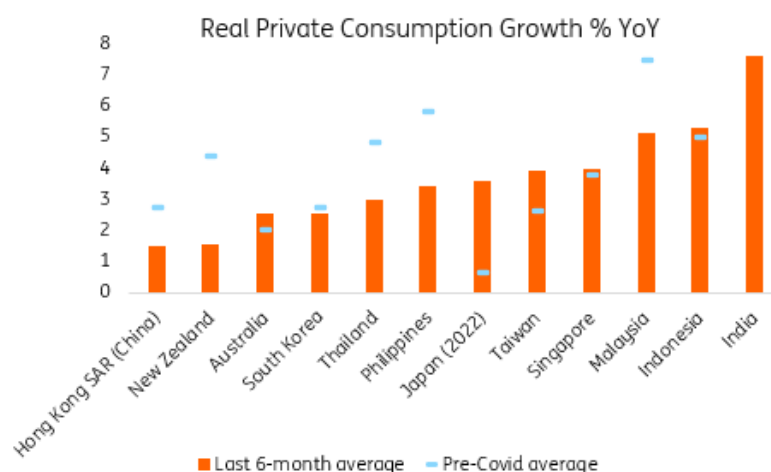
Asia consumption recovery: gradual but uneven

Private consumption across Asia remained subdued in 2025, reflecting soft real income growth, cautious household sentiment, and the lagged effects of earlier monetary tightening. Recent declines in oil prices are a welcome relief, easing pressure on household purchasing power and supporting sentiment. At the same time, strong equity market gains - most notably

in Japan and South Korea - have lifted household wealth, providing a partial offset to income pressures.

Against this backdrop, Asia's consumer is showing signs of recovery. But it remains uneven rather than broad-based, with increasing differentiation across the region. Economies such as Japan, Australia, Singapore, and India are benefiting from structurally stronger consumption trends, with activity largely back to pre-pandemic levels. Cyclical momentum is also [improving in Korea](#) and Taiwan, supported by AI-driven growth, strengthening real income dynamics, and more accommodative policy settings. By contrast, consumption recoveries in the Philippines, Thailand, Indonesia, and Malaysia continue to lag. We explore some of the divergence in consumption trajectories across Asian economies.

Japan, Australia, Singapore, seeing structurally stronger consumption trends



Source: CEIC

Savings buffers: uneven trends across the region

Households entered the post-Covid period with elevated savings, but the extent to which these buffers still exist is increasingly divergent. Consumption in economies with limited buffers is likely to be more volatile and sensitive to near-term shocks, particularly changes in energy prices.

- In North Asia (Japan, Korea, Taiwan), excess savings accumulated during the pandemic have largely been drawn down, with consumption normalisation and higher living costs eroding buffers.
- In parts of ASEAN, particularly lower-income economies such as the Philippines and Indonesia, precautionary savings remain thin. This leaves consumption more sensitive to

income shocks and inflation.

- By contrast, Singapore stands out with still-healthy household balance sheets, supported by stronger income growth and asset price gains.

Japan: Wage-led recovery, wealth effects to build gradually

While Japan's consumption growth has softened recently, the underlying structural backdrop is turning more supportive. This is driven primarily by a shift toward higher wages reflecting tighter labour market conditions and improved corporate profitability. It marks an important break from Japan's deflationary past and provides the foundation for a more durable, income-driven recovery in consumption. Real income growth has finally turned positive. We expect the tight labour market to continue to support positive real income growth.

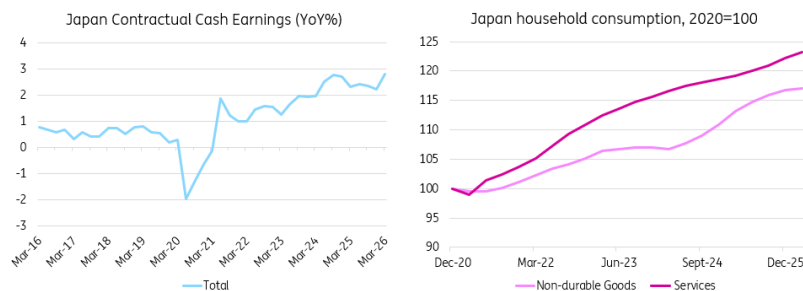
Strong service consumption suggests households are more willing to spend today than to save. Decisions are less anchored to expectations of falling prices. This is a critical sign that deflation is easing structurally, not just temporarily. Services are labour-intensive, so rising consumption here often reflects higher wages, and stronger employment conditions

At the same time, the economy is undergoing a gradual yet important shift away from its long-standing cash-heavy, deflation-era household behaviour towards more market-linked and risk-taking behaviour. Over the past three years, households have steadily reallocated assets toward equities and investment funds, supported by strong market performance, policy incentives such as the expansion of Nippon Individual Savings Accounts (NISA), and a changing inflation backdrop. While cash and deposits still account for roughly half of total household assets, the share of equities and mutual funds has risen meaningfully to around 22% in 2025 from 15% in 2022.

Despite these supportive factors, the transmission to consumption remains limited. Japan is only in the early stages of its transition toward equity ownership, and participation starts from a low base. So, recent wealth gains have been concentrated among higher-income households—primarily the top 10–20% who already have greater exposure to risk assets.

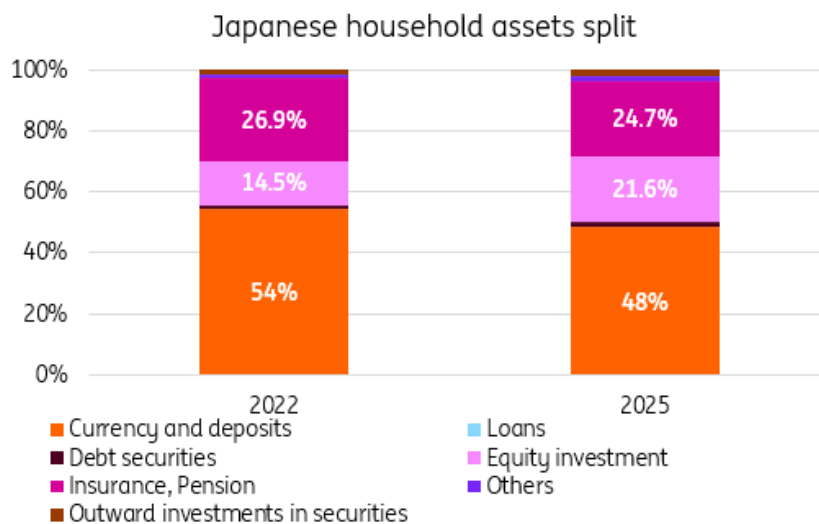
The structural shift toward higher wages and higher equity ownership should gradually support a recovery in consumption. However, the pace is likely to remain moderate, constrained by ageing households, which limit the transmission of wealth to spending.

Japan is seeing a shift towards higher wages



Source: CEIC

Japan is undergoing an important shift away from cash



Source: CEIC

Australia: housing wealth supports consumption

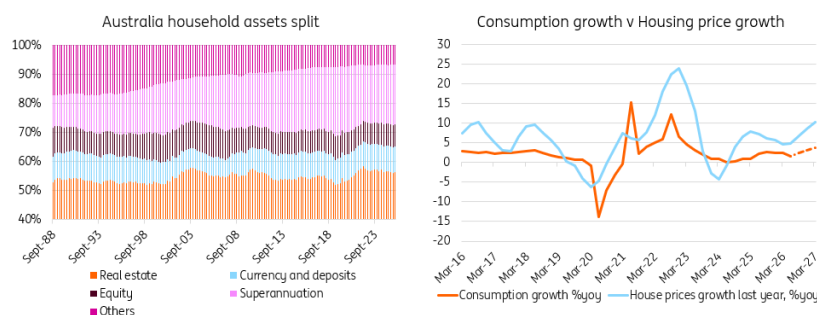
Australia presents a clear contrast to Japan in that household wealth is heavily concentrated in real estate rather than financial assets. Around 55% of household wealth is tied to housing, a composition that has remained broadly stable over the past few decades.

House prices have increased sharply - by more than 50% - since the COVID period, driven by a combination of strong demand and constrained supply. Population growth has been a key factor. Immigration is running well above pre-pandemic levels, while housing supply has struggled to keep pace due to weak building approvals and persistent structural bottlenecks. Even in the face of higher interest rates, house prices have remained resilient and continued to trend upward.

This has supported household balance sheets and consumption via housing wealth effects, though gains are uneven-non-homeowners face worsening affordability and rising rents. A still-tight labour market has underpinned income growth.

Looking ahead, our estimates suggest that real consumption growth in Australia is significantly more sensitive to house price movements than to wage growth. As such, consumption should accelerate in the second half of the year, supported by the lagged effects of strong house price appreciation through the first quarter of 2026. In addition, persistently tight housing supply is likely to limit downside risks to house prices. This is helping sustain household wealth and reduce the risk of a sharp pullback in consumption.

Australia - house price growth supports robust consumption



Source: CEIC

Singapore: durable uplift in consumption

Singapore is seeing a durable uplift in consumption, underpinned by structural tailwinds rather than cyclical factors.

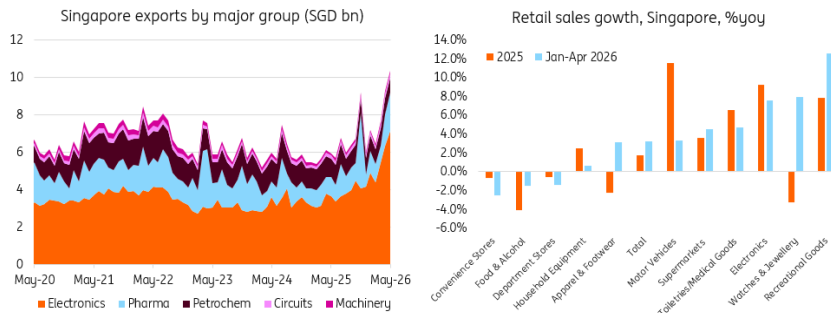
Singapore is benefiting from two reinforcing trends. First, strong and sustained FDI inflows driven by its safe-haven appeal. Its role as a regional logistics and services hub, and relative tariff advantage, are supporting income growth and employment stability. Second, Singapore is emerging as a key beneficiary of the AI investment cycle, given its world-class digital infrastructure, deep talent pool, and openness to innovation. These forces are translating into firm wage growth and strengthening household purchasing power.

Importantly, this is now visible in consumption patterns. Singapore is seeing a clear recovery in discretionary spending in 2026, with robust demand across categories such as leisure, electronics, and luxury goods. At the same time, tourism has rebounded strongly - now around 25% above pre-pandemic levels - providing an additional lift to retail, hospitality, and services consumption.

These dynamics are not only strengthening the external sector but are also spilling over into domestic demand. Labour market conditions remain supportive, with wages rising in

Singapore.

Singapore is benefitting from AI investments



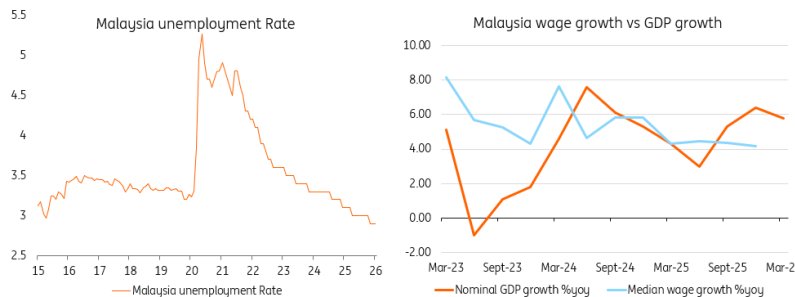
Source: CEIC

Middle of the pack: Malaysia – looking for new drivers

Real consumption growth in Malaysia remains below its pre-Covid pace. First, housing wealth, previously a key driver of private consumption, has played a more muted role in recent years. Second, while the slower pace of post-pandemic debt accumulation eased the incremental drag from new borrowing, elevated debt servicing burdens continue to weigh on consumption. Third, despite high labour force participation and low unemployment, wage growth has been persistently constrained by weak productivity and the concentration of jobs in lower value-added sectors.

Yet there's a growing tailwind. The current wave of AI- and data centre-related investments is enabling a gradual shift toward higher value-added activities. This should support improvements in productivity and income over time. Malaysia is becoming more deeply embedded in the global AI value chain, particularly through its strength in semiconductor assembly and testing. It continues to attract strong FDI inflows. In parallel, the country is emerging as a regional data centre hub, with large-scale infrastructure development, creating new employment opportunities. Together, these structural shifts should help underpin a gradual recovery in consumption.

Malaysia – despite low unemployment, wage growth is constrained by weak productivity



Source: CEIC

The laggards: Indonesia and Philippines

While low household debt is a structural tailwind, consumer spending in these economies remains primarily income-driven rather than credit-driven, making it more vulnerable to income volatility.

Philippines – low productivity growth constraining consumption

Structural constraints in the labour market are capping the upside for income-driven consumption. According to the World Bank, between 2010 and 2025, three out of four new jobs were created in non-tradable sectors, which tend to have lower productivity growth. Export-oriented firms are around 20% more productive than non-exporters, yet the number of such firms has declined over the past decade. Though IT and business services outsourcing (BPO) grew, manufacturing stagnated due to real effective exchange rate appreciation, high energy costs, technology trends, and a challenging regulatory environment. This shift away from higher-productivity, export-oriented sectors toward lower value-added activities poses a structural constraint on income growth and, by extension, on the sustainability of consumption.

Consumption in the Philippines is closely tied to overseas remittances, which are predominantly used for day-to-day household spending rather than savings or investment. This structural reliance makes local demand heavily dependent on external income flows rather than domestic credit conditions.

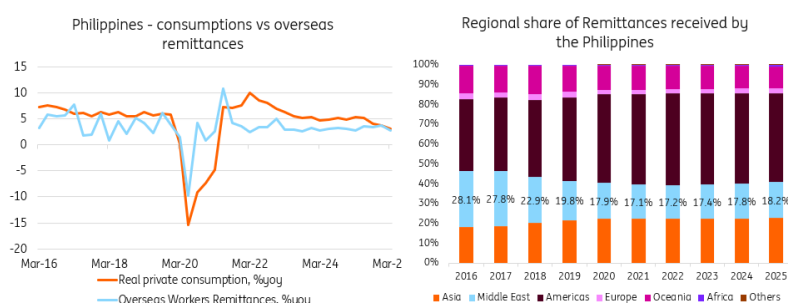
Recent data points to an emerging slowdown: Overseas remittance growth eased to around 2% year-on-year, with inflows falling to an 11-month low of about \$2.7 billion in April 2026. This marks the weakest annual growth in nearly four years.

With the Middle East accounting for roughly 17–18% of total remittance inflows, developments in the region are particularly important. Headline data doesn't yet show a sharp contraction in

remittances from the Middle East, but growth has moderated since February. Month-to-month flows have become more uneven in early 2026, reflecting early-stage disruptions linked to the conflict.

As such, the recent slowdown and rising volatility could exert a more persistent drag on inward remittances as conditions in the Middle East region take time to stabilise. Given the limited offset from alternative income sources, particularly for lower- and middle-income households, any sustained weakening in remittance inflows is likely to weigh on private consumption with a lag. This reinforces downside risks to domestic demand.

Philippines – slowdown in remittances could impact consumption



Source: CEIC

Indonesia – structurally constrained

While headline consumption growth numbers in Indonesia suggest household demand remains relatively stable, high-frequency indicators tell a more nuanced story. Retail sales and consumer confidence have remained persistently soft, suggesting underlying weakness in spending dynamics. This divergence reflects the structural nature of Indonesia's consumption model. Consumption is heavily income-driven rather than credit-driven. Relatively low household leverage is limiting households' ability to smooth spending during periods of weak income growth.

Post-Covid, Indonesia's consumption dynamics remain constrained by weak income growth and limited household buffers. Despite headline GDP growth of around 5%, real wage growth has been modest at roughly 2%. This spotlights a disconnect between macro growth and household income gains. It reflects a structural shift toward lower-productivity sectors, with manufacturing's share of GDP declining to roughly 18.7%, while employment has tilted toward informal and low-value-added services.

Household balance sheets show signs of fragility. While the aggregate gross savings rate remains relatively high at around 35–37% of GDP, it masks significant distributional

differences. Micro-level indicators point to weakening buffers. Average household savings per bank account have been declining, suggesting an erosion of per-capita reserves. At the same time, Bank Indonesia survey data shows that the share of income allocated to savings rose to about 14.9% in December 2025. The share spent on consumption edged down to around 74–75%, indicating rising precautionary behaviour rather than stronger financial positions.

High-frequency indicators reinforce this picture of subdued demand. Retail sales contracted by 3.7% YoY in April, marking the first decline in a year. Consumer confidence, meanwhile, eased to around 120.9 in May from 123 previously. Monthly momentum has been volatile, with retail sales falling 11.6% MoM in April, underscoring weak discretionary spending.

Taken together, these data points suggest that Indonesia's consumption is being constrained not by a lack of aggregate savings but by weak income growth and thin buffers among lower- and middle-income households. The combination of modest real wage gains, declining per-household savings, and rising precautionary saving points to cautious consumer behaviour.

Indonesia: weak near-term outlook



Source: CEIC

Conclusion

In sum, Asia's consumers are recovering, but the rebound is increasingly uneven. Structural factors - not just cyclical conditions - are driving a divergence, with income growth, savings buffers, and wealth composition shaping consumption outcomes. This suggests the region is unlikely to see a synchronised consumption upswing, with laggards continuing to weigh on aggregate demand.

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Article | 9 July 2026

THE NETHERLANDS

Slowly easing inflation outlook supports gradual pickup in Dutch growth

The Dutch economy is set to grow at a moderate pace, with inflation expectations easing somewhat after previous energy market tensions. While uncertainty clearly remains, the improved inflation outlook is expected to allow for a gradual reacceleration of economic growth in the quarters ahead



We expect Dutch GDP growth to reaccelerate to 1.3% in 2027

Inflation outlook stabilises, but remains uneven

Inflation expectations have improved compared with previous months, reflecting somewhat more favourable assumptions for oil and gas prices. This should help contain inflation and support economic growth. At the same time, the path of inflation remains uneven, with indirect effects from previous energy price increases still feeding through to other prices. And recent events in the Gulf show that uncertainty about energy prices clearly remains.

In any case, the indirect effects are expected to push up prices for food and beverages, industrial goods and eventually services, such as hospitality, until the start of 2027. As a result,

HICP inflation is still projected to follow a somewhat wobbly path over the coming year. Nevertheless, it is expected to be lower in 2026 (2.7%) than in 2025 (3.0%) on average and remain below wage growth. High services and housing inflation, together with tax increases such as the VAT on accommodation, continue to keep inflation above the 2% target. Selling price expectations among businesses have declined for the second consecutive month, but remain above historical averages.

Household income supports consumption despite caution

Despite low consumer confidence and previous inflationary pressures, consumption has grown this year. This resilience is largely explained by wage developments, which continue to outpace inflation, and a still tight labour market, with unemployment remaining low at 3.9% as of June 2026.

However, caution among households remains visible. While some consumers will still face rising energy costs as fixed contracts expire, fuel inflation has already peaked. Consumer confidence has recovered somewhat, but remains low, suggesting that households are likely to keep saving for the time being.

Looking ahead, purchasing power gains are expected to weaken in 2027. Wage growth is projected to decelerate more than inflation, the temporary boost from pension reforms will fade, and labour income tax increases are set to take effect. At the same time, developments in the housing market could pose additional risks to consumption, as weaker housing momentum may dampen wealth effects and housing-related spending.

Uncertainty also remains about how households will adjust their consumption behaviour in response to changes in perceived future pension wealth after the transition to the defined-contribution system. Still, improving economic sentiment could limit precautionary saving, potentially allowing consumption growth to gain further traction again in 2027.

Public spending supports growth, with policy uncertainty ahead

Public spending remains the main driver of economic growth in 2026, supported by ongoing increases in healthcare and public administration. This contribution is expected to diminish in 2027, when austerity measures are projected to take effect, particularly in public administration.

At the same time, uncertainty around fiscal policy remains elevated. It is not yet clear to what extent the minority government will succeed in implementing its defence spending-focused budget for 2027, nor what compromises may be required to secure parliamentary support. So far, support for austerity measures – especially in social security – has been limited.

Investment outlook improves gradually amid structural constraints

Private investment remains subdued in 2026, reflecting geopolitical uncertainty, trade tensions and earlier inflationary pressures, but is expected to gain traction in 2027, supported by a gradually improving macroeconomic environment.

Structural constraints continue to weigh on investment decisions, including limited nitrogen emission space, electricity grid congestion and relatively unfavourable energy price competitiveness. Recent political developments, including [increasing support for a comprehensive approach to the nitrogen challenge](#), could help ease some of these constraints over time. This would support both actual and potential growth, particularly through improved conditions for housing, infrastructure and business expansion.

Public investment is set to remain an important pillar of growth, with continued expansion in housing-related infrastructure, the energy grid and defence. Progress on nitrogen policies could further accelerate these investment plans in the years ahead.

External environment remains mixed, but improves

International developments continue to play a key role in the highly open Dutch economy. While several manufacturing export sectors still struggled at the start of 2026, expectations have improved in recent months, according to the [monthly survey by the European Commission](#).

Dutch firms in the semiconductor supply chain continue to benefit from strong global investment related to artificial intelligence, and this support is likely to persist into 2027. At the same time, intensifying competition from China – driven by overcapacity and technological upgrading – is expected to constrain export growth in European markets in other manufacturing industries.

Nevertheless, export demand is projected to strengthen later in 2026. Increased defence and infrastructure spending in Europe, particularly in Germany, is expected to generate positive spillovers for Dutch producers and constructors. While the Netherlands' military industrial complex is relatively small, it is competitive in niches such as drones and radar technology.

Labour market easing slightly

While the labour market is gradually becoming less tight, constraints related to labour shortages remain an important factor for business activity. At the same time, productivity growth has recovered following the weakness seen during the 2022 energy crisis, suggesting less labour hoarding by firms.

Rising wage costs and slowing labour supply growth are coinciding with somewhat weaker employment dynamics, which may push unemployment slightly higher. Even so, the labour market remains relatively tight.

Despite higher wages, average business profitability remains above historical averages, although this likely varies across sectors. Overall, the combination of solid domestic demand and persistent structural headwinds points to a continued environment of moderate, but resilient, economic growth.

After a slowdown from solid 1.6% growth in 2025 to a more moderate expansion of 1.2% in 2026, Dutch GDP growth could reaccelerate to 1.3% in 2027 and a more typical 1.5% in 2028.

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Article | 9 July 2026

MANUFACTURING, CONSTRUCTION AND RETAIL THE NETHERLANDS

Temporary uptick for Dutch chemicals masks ongoing challenges

The Dutch chemical industry has gained a bit of breathing room as the initial closure of the Strait of Hormuz reduced Asian competition and triggered temporary stockpiling. But when trade flows normalise, overcapacity, cheap imports, tariffs and high costs will weigh on output once again



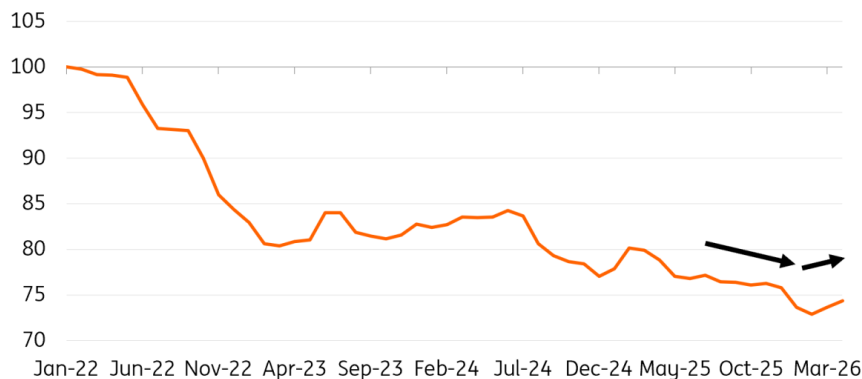
The Dutch chemical industry has seen a welcome period of relief, but output is likely to come under pressure again as trade flows normalise

Middle East conflict offers temporary relief from import pressure

The outlook for the Dutch chemical industry has improved slightly since the initial closure of the Strait of Hormuz earlier this year. Customers have been building additional inventories as a precaution, while foreign competition has eased. This gives Dutch chemical producers more room for production growth in the second quarter, and probably also the third. The closure has caused feedstock shortages for Asian producers, who rely heavily on oil, gas and derivatives from the Gulf region. This has led to a sharp scaling back of Asian oil refining and petrochemical production, and to lower chemical exports to Europe. Dutch and other European chemical producers are much less dependent on the Gulf region, which accounts for around 20% of their total feedstock needs.

Chemical production has increased slightly

Monthly production level of the chemical industry, January 2022 = 100*



Source: Statistics Netherlands, ING Research

*Seasonally adjusted production, 2-month moving average

Pressure on chemical output will rise again when Hormuz reopens further

Even so, chemical production is still more than 25% below the peaks reached in late 2017 and January 2022, and the downward trend has not yet been broken for any sustained period. If Hormuz reopens further and stays open, production and transport in the Gulf region and Asia can recover. The downside is that demand for European chemical products will then weaken again due to cheap imports from China. Shipping traffic through the Strait is expected to take several months [to recover](#) to pre-war levels, and even this assumes the very shaky ceasefire between the US and Iran holds. Given recent comments made by US President Donald Trump that the truce is "over", this appears increasingly uncertain.

Global overcapacity, cheap imports and tariffs will continue to hurt structurally...

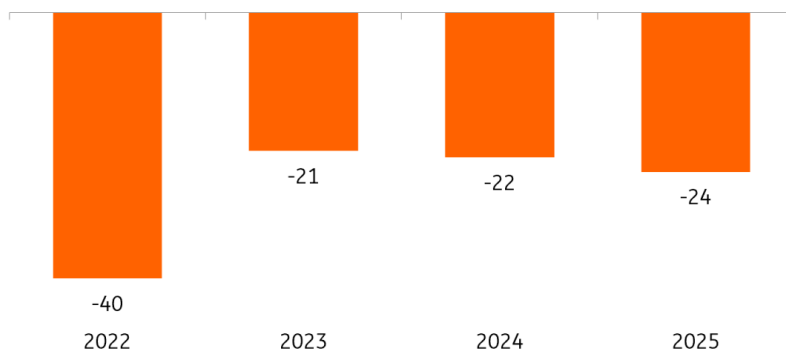
Global petrochemical production capacity has expanded by 65% over the past 15 years and, based on projects already under way, will continue to grow, particularly in China. The resulting overcapacity and inflow of cheap, partly subsidised chemical imports from Asia will keep pressure on European producers. The artificially low value of the Chinese yuan and US import tariffs also add to the strain.

Upstream producers in petrochemicals and basic chemicals are feeling this most acutely. Dow, for example, is cutting more than a fifth of its workforce in the Netherlands, while Evonik is cutting more than 2,000 jobs in Germany. They join a long list of European chemical companies that have already reorganised or closed facilities. The number of chemical plant

closures in Europe increased sixfold between 2022 and 2025, resulting in a combined capacity loss of 37 million tonnes, or 9%, [according to Cefic](#). The European Commission views the current trade relationship with China as unsustainable and is looking at measures, while also recognising Europe's dependence.

The large EU trade deficit in chemical products with China continues to increase

EU trade balance with China for chemical products (exports - imports), *€1 billion



Source: Eurostat

...as will high energy prices and rising CO₂ costs

The Iran war has pushed up oil and gas prices, although the rise in gas prices has been far smaller than after the outbreak of the war in Ukraine in 2022. A scenario of further de-escalation could see energy prices brought down again, but in Europe they remain structurally higher than in the US and China. Additional LNG supply from the US may provide some relief, but sustainably lower energy costs require substantial European investment in renewable energy, hydrogen infrastructure and carbon storage.

Chemical producers will also need to step up electrification and the use of bio-based feedstocks, with or without government support, partly because of rising CO₂ costs. Brussels may give industry some leeway on ETS rules, for example through a slower phase-out of free emission allowances. Even so, faster greening and a reduction in fossil fuels and feedstocks remain necessary for a future-proof competitive position.

European gas price risen and is very high compared to US gas price

Ratio between gas price in Europe and the US (Dutch TTF vs. Henry Hub)



Source: IMF, ING Research

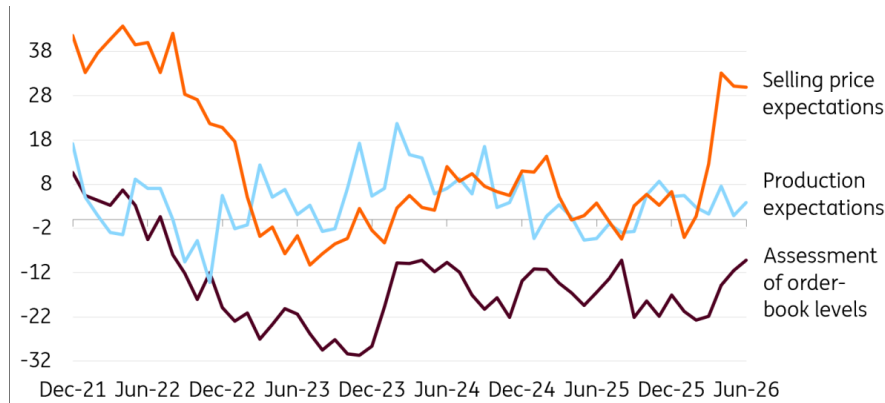
Selling prices and orders are rising, but optimism remains limited

Chemical producers are raising selling prices where needed and where possible. With import pressure temporarily lower and global shortages pushing up prices, they are better able to pass on higher energy and feedstock costs. Order books are therefore temporarily fuller, but expectations for the near term remain subdued, underlining the temporary nature of the rebound.

Differences between companies are also substantial. The further downstream producers are, the more scope they generally have to pass higher costs on to customers. Speciality chemical producers suffer far less from high energy prices and global overcapacity than basic chemical producers, thanks to lower energy intensity and higher value-added margins. Larger basic chemical companies often also use forward or hedge contracts to dampen energy and feedstock price volatility. If the Iran war does not flare up again, these factors could help keep price increases limited.

Fuller order books, price increases expected

Chemical producers' assessment of order-book levels and expectations for the months ahead*



Source: European Commission

*balance of positive and negative assessments

European Commission wants to make chemicals more competitive and greener

The European Commission wants to give energy-intensive industry a better near-term outlook.

- The [Clean Industrial Deal](#) and its implementation through the chemical industry [action plan](#) aim to enable lower energy prices and encourage the greening of production processes.
- The Carbon Border Adjustment Mechanism, or [CBAM](#), came into force at the start of this year. More chemical products may be covered in the future, but for now protection against carbon-intensive imports only applies to fertilisers, next to cement, aluminium, iron, steel, hydrogen and electricity.
- This means producers of hard-to-abate chemical products other than fertilisers are not yet protected against the [phase-out](#) of free emission allowances under the [ETS](#).

Dutch government narrows cost gap with neighbouring countries

To level the playing field with other European countries, the Dutch government has already offered support to basic industry. For the next three years, the Indirect Cost Compensation scheme for large electricity consumers has been reintroduced. The scheme dampens high Dutch electricity costs and slightly narrows the [cost gap](#) with neighbouring countries, subject to sustainability conditions. The new government is continuing this policy. It also wants to reduce electricity costs for basic industry further from 2028 and abolish the national CO₂ levy.

This could support some recovery in chemical plant utilisation. Underutilisation has already improved somewhat thanks to the temporary rebound and the removal of the least profitable plants in petrochemicals and basic chemicals from the market.

Read the [extended version of the report in Dutch here](#)

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ING Monthly

July 2026

The global economy at half time



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The global economy at half time

One lesson from both football and economics is that momentum can change quickly. After a bruising first half, the global economy still has time to put in a decent second-half performance

As the World Cup enters its decisive stage, it is once again reminding us that, for all the talk of shifting geopolitical and economic power, football remains largely dominated by Europe. Six of the eight quarter-finalists are European, alongside one African and one South American team. A closer look at the remaining contenders reveals another curiosity: three of the six European teams are members of neither the eurozone nor the European Union. Could this be a reason to call for a Draghi football plan? Or a European Football Recovery fund, backed by eurofootbonds? Or does this performance bring back the discussion about optimal government debt ratios, as the highly indebted eurozone countries, Italy and Greece, didn't even qualify for the World Cup, while the low-debt countries, Germany, the Netherlands and Austria, are already back home. Enough, I promise. At this point, I suspect European policymakers will be keen to stress that there is absolutely no relationship between footballing success and the economy.

Even if parallels between football and the economy are far-fetched, the World Cup has offered a timely reminder that the White House can influence not only financial markets and the global economy, but also one of the world's favourite pastimes. President Trump asked FIFA President Gianni Infantino to review the red card shown to US striker Folarin Balogun, saying he believed the dismissal was unfair, leading to FIFA declaring that Balogun could play in his team's next match.

That brings us to the most striking market development of recent weeks: the sharp fall in oil prices, but also the recent increase again as President Trump shifted his attention away from the World Cup and back to the Middle East. We had already feared that the oil market was too good to be true, and now feel certain of our more conservative oil price forecasts, even when prices dropped below their pre-conflict levels. It turns out that the negotiations between the US and Iran are anything but straightforward, and that continued fragility around shipping through the Strait of Hormuz should remain the base case, rather than the benign scenario many market participants had been pricing until recently.

With the drop in oil prices in recent weeks, some central bank officials, particularly at the ECB, will have doubted the need for further rate hikes and might dig out the term 'transitory' from the central bankers' dictionary of forbidden words. In any case, unless we see a further escalation and a resurgence of energy prices, even with the latest rebound, the drop in energy prices since May should bring some relief for the global economy. However, it is still too early to call this a kind of back-to-the-future moment, taking the global economy back to where it stood at the start of the year: the prospect of a gradual recovery, driven by large investment needs, and the chance of monetary easing on the back of possible inflation undershooting.

As we are still licking the wounds of an unexpected first half of the year, it would be presumptuous to call for an entirely benign macro environment in the second half. In fact, developments of the last 24 hours just demonstrated exactly that. Instead, let's do it like the football pundits and simply carve out the themes that will probably shape the next few months. Our three things to watch in the second half of 2026:

- 1) Central bankers vs the textbook supply shock. The ongoing struggle of central bankers with what increasingly looks like a pure textbook supply shock will dominate headlines. Delivering more rate hikes could quickly turn into a policy mistake, while doing nothing could become a reputational issue. We still fear that the ECB feels inclined to deliver on yet another insurance rate hike, while most other central banks will keep their powder dry.
- 2) The race for the strongest rebound. The recovery in economic activity as energy prices retreat could differ significantly across countries and regions. While Asian economies have been hit massively by the closure of the Strait of Hormuz, relief and reopening could boost activity. In Europe and the US, lower energy prices should bring relief for consumers. While this reprieve is traditionally more likely to end in additional savings in Europe, it could bring a boost to consumption in the US.
- 3) Politics, again. Whether it's the US mid-term elections, with potential implications for economic and foreign policy, or European leaders having to deliver on their February promises to structurally strengthen the single market, energy policies and capital markets union. Politics will once again have the potential to move markets and the global economy.

One lesson from both football and economics is that momentum can change quickly. After a bruising first half, the global economy still has time to put in a decent second-half performance.

Watch: Looking ahead to the rest of 2026



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Our key calls this month

- **Oil prices:** The quicker ramp-up in flows through the Strait of Hormuz has led us to revise our ICE Brent forecast lower for the remainder of the year. We're now expecting Brent to average \$80/bbl in 3Q26 and \$74/bbl in 4Q26. That assumes no meaningful disruptions to flows, which risks proving optimistic after the latest re-escalation in US-Iran tensions.
- **United States:** Lower motor fuel prices are bringing relief for consumers, but it also means that inflation has likely peaked, barring a severe escalation in the Middle East. Slowing housing rents, weak wage growth and a waning influence from tariffs should more than offset concerns tied to tech-related inflation pressures. We expect the Fed to stay on hold until summer 2027.
- **Eurozone:** We expect the ECB to sit out the July meeting to see how the situation in the Middle East evolves. But with higher core inflation, the central bank could hike once more in September if inflation risks still provide reason for concern.
- **China:** We expect first-half 2026 growth to be around 4.8% YoY, though a further deterioration in data could increase pressure for greater policy support this year. We now expect the PBoC to cut rates in the third quarter on lower energy prices and potentially softer inflation.
- **United Kingdom:** We think the Bank of England will keep rates on hold until next spring/early summer, when we're likely to see the resumption of gradual rate cuts. Inflation is unlikely to peak much above 3% this year on our revised energy price forecast.
- **Asia ex-China:** Falling oil prices should ease inflation and external pressures across Asia, but second order inflation effects and FX vulnerabilities remain key constraints. Central banks are likely to maintain a tightening bias until price pressures and external balances improve.
- **FX:** We're mildly dollar negative into year-end and into 2027, largely driven by our Fed view. EUR/USD and USD/JPY can end this year near 1.18 and 158, respectively.
- **Market rates:** We expect the US yield curve to steepen from both ends. Front-end yields should get back below 4%, while the 10yr yield will have a tendency to hug the 4.5% area (and quite potentially test higher). The eurozone curve sees a similar tendency, as the front end calms on reduced rate hike pressure, and the back end holds steady, we think, with the 10yr holding broadly in the 3% area (Germany and Euribor).

ING global forecasts

	2026					2027					2028				
	1Q26	2Q26F	3Q26F	4Q26F	2026F	1Q27F	2Q27F	3Q27F	4Q27F	2027F	1Q28F	2Q28F	3Q28F	4Q28F	2028F
United States															
GDP (% QoQ, ann)	2.1	2.5	2.3	1.8	2.3	2.0	2.1	2.2	2.1	2.1	2.1	2.1	2.1	2.1	2.1
CPI headline (% YoY, avg)	2.7	3.9	3.6	3.6	3.4	3.2	2.1	2.2	2.2	2.4	2.1	2.1	2.0	2.0	2.0
Federal funds (% eop)	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25
3-month SOFR rate (% eop)	3.70	3.65	3.60	3.60	3.60	3.60	3.40	3.15	3.15	3.15	3.15	3.15	3.15	3.30	3.30
10-year interest rate (% eop)	4.20	4.50	4.50	4.50	4.50	4.25	4.25	4.30	4.40	4.40	4.50	4.50	4.50	4.50	4.50
Fiscal balance (% of GDP)					-6.3					-6.2					-6.2
Gross public debt / GDP					100.1					102.1					104.3
Eurozone															
GDP (% QoQ, ann)	-0.1	0.4	0.8	1.2	0.5	1.4	1.5	1.5	1.4	1.3	1.3	1.2	1.1	1.1	1.2
CPI headline (% YoY, avg)	2.0	3.2	2.8	2.8	2.7	2.7	2.2	2.1	2.1	2.2	2.1	2.0	2.0	1.9	2.0
ECB Deposit Rate (% eop)	2.00	2.25	2.50	2.50	2.50	2.50	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25
3-month interest rate (% eop)	2.10	2.30	2.50	2.50	2.50	2.50	2.30	2.30	2.30	2.30	2.30	2.30	2.30	2.40	2.40
10-year interest rate (% eop)	3.00	2.90	3.00	3.00	3.00	2.90	2.90	3.00	3.10	3.10	3.10	3.10	3.20	3.20	3.20
Fiscal balance (% of GDP)					-3.6					-3.5					-3.4
Gross public debt/GDP					92.2					92.7					93.3
Japan															
GDP (% QoQ, ann)	1.8	1.2	0.4	1.2	0.7	0.8	1.2	1.2	0.8	1.0	0.8	1.2	0.8	0.8	0.9
CPI headline (% YoY, avg)	1.4	1.6	1.8	1.9	1.7	2.4	2.6	2.3	2.0	2.3	2.2	2.0	2.1	2.0	2.1
Target rate (% eop)	0.75	1.00	1.00	1.25	1.25	1.50	1.75	1.75	1.75	1.75	1.75	1.75	1.75	1.75	1.75
3-month interest rate (% eop)	1.25	1.40	1.50	1.65	1.65	1.85	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
10-year interest rate (% eop)	2.35	2.65	2.80	2.90	2.90	3.10	3.10	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
Fiscal balance (% of GDP)					-1.8					-2.4					-2.9
Gross public debt/GDP					202					200					197
China															
GDP (% YoY)	5.0	4.6	4.7	4.5	4.7	4.0	4.8	4.4	4.3	4.4	4.4	4.0	4.2	4.3	4.2
CPI headline (% YoY, avg)	0.8	1.3	1.6	1.4	1.2	1.5	1.4	1.3	1.1	1.3	1.1	1.1	1.5	2.2	1.5
7-day Reverse Repo Rate (% eop)	1.40	1.40	1.30	1.30	1.30	1.30	1.30	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
3M SHIBOR (% eop)	1.51	1.42	1.38	1.35	1.35	1.35	1.35	1.30	1.30	1.30	1.30	1.30	1.30	1.30	1.30
10-year T-bond yield (% eop)	1.85	1.75	1.80	1.85	1.85	1.90	1.95	1.95	2.00	2.00	2.05	2.10	2.10	2.15	2.15
Fiscal balance (% of GDP)					-5.3					-5.3					-5.4
Public debt (% of GDP), incl, local govt					140					145					150
United Kingdom															
GDP (% QoQ, ann)	2.5	1.0	0.4	0.9	1.0	0.5	1.8	1.4	1.7	1.0	1.6	1.7	1.5	1.5	1.6
CPI headline (% YoY, avg)	3.1	2.8	3.1	2.9	3.0	2.9	2.3	2.0	2.3	2.4	2.0	2.1	2.2	2.1	2.1
BoE official bank rate (% eop)	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25
3-month interest rate (% eop)	3.50	4.00	4.00	4.00	4.00	3.95	3.70	3.45	3.25	3.25	3.25	3.25	3.25	3.25	3.25
10-year interest rate (% eop)	4.70	5.00	5.00	4.90	4.30	4.65	4.55	4.45	4.50	4.40	4.50	4.50	4.50	4.50	4.50
Fiscal balance (% of GDP)					3.6					3.1					3.1
Public sector net debt (FY, %)					94.8					95.7					97.0
EUR/USD (eop)	1.16	1.14	1.17	1.18	1.18	1.18	1.20	1.21	1.22	1.22	1.22	1.22	1.22	1.22	1.22
USD/JPY (eop)	159	162	160	158	158	155	154	153	152	152	152	150	150	150	150
USD/CNY (eop)	6.89	6.77	6.73	6.70	6.70	6.70	6.65	6.60	6.55	6.55	6.51	6.47	6.43	6.40	6.40
EUR/GBP (eop)	0.87	0.86	0.87	0.88	0.88	0.89	0.90	0.90	0.90	0.90	0.90	0.90	0.90	0.90	0.90
ICE Brent - US\$/bbl (average)	78	97	80	74	82	72	68	70	70	70	68	70	73	67	70
Dutch TTF - EUR/MWh (average)	40	46	45	48	45	40	32	31	32	34	30	27	24	28	27

Source: ING forecasts

How a Middle East re-escalation could reshape the outlook for interest rates and markets

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Here's our scenario for oil, central banks and financial markets if Strait of Hormuz flows become fully disrupted again through the summer

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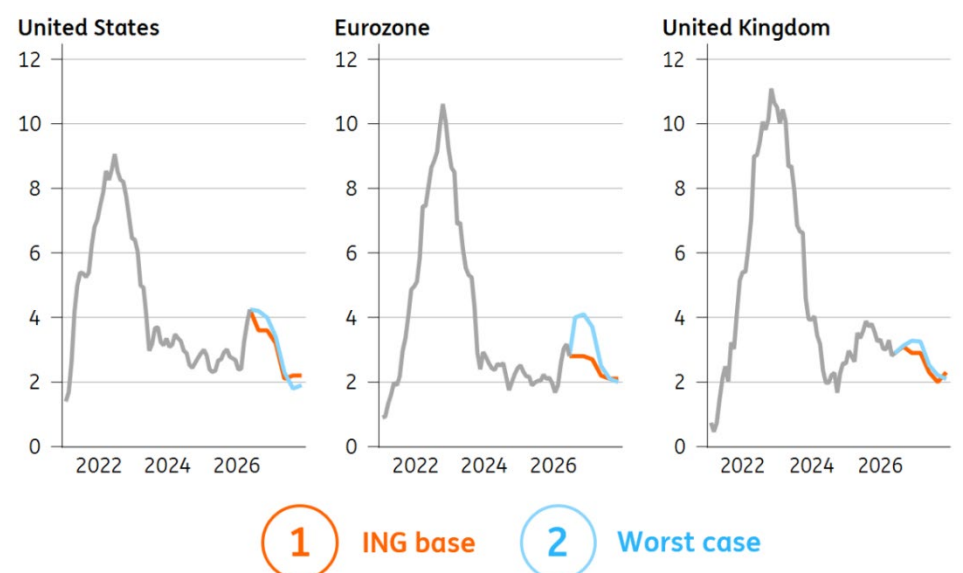


Two scenarios for energy markets

	Disruption rate (%)						Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
	Jul	Aug	Sep	Oct	Nov	Dec		Q3	Q4	Q1		Q3	Q4	Q1
ING base	15	7	5	0	0	0	1570	80	74	72	34	45	48	40
Worst case	15	55	100	40	15	7	2450	101	85	78	53	55	60	51

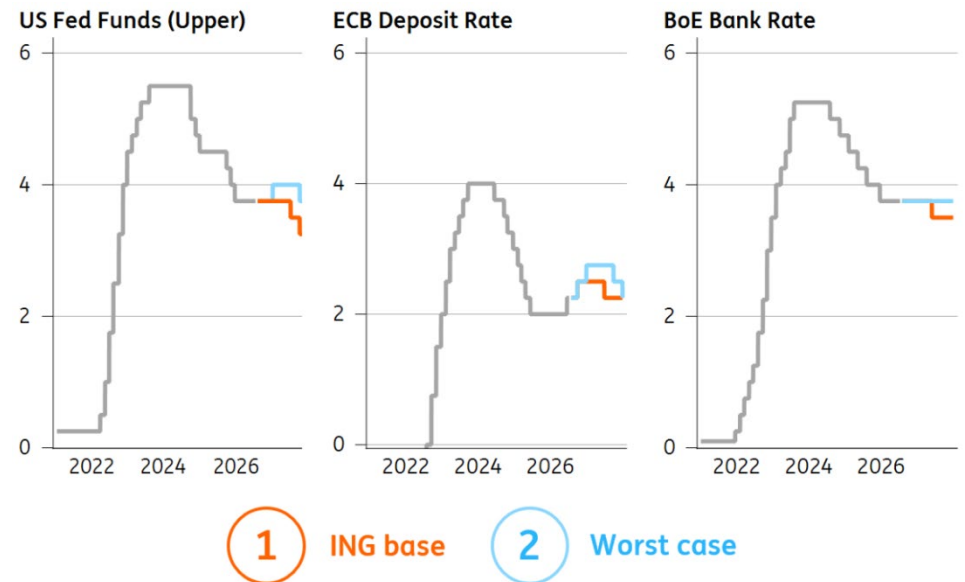
Source: ING

Two scenarios for inflation



Source: ING

Two scenarios for central banks



Source: ING

Two scenarios for markets

		1 ING Base						2 Worst case					
Disruption rate (%)		15	7	5	0	0	0	15	55	100	40	15	7
		May	Jun	Jul	Aug	Sep	Oct	May	Jun	Jul	Aug	Sep	Oct
		2026		2027				2026		2027			
		Q3	Q4	Q1	Q2	Q3	Q4	Q3	Q4	Q1	Q2	Q3	Q4
Brent Crude (USD/bbl)	79	80	74	72	68	70	70	101	85	78	70	70	70
Dutch TTF gas (EUR/MWh)	49	45	48	40	32	31	32	55	60	51	43	35	35
US Inflation (YoY%)	4.2%	3.6	3.6	3.2	2.1	2.2	2.2	4.2	4.0	3.4	2.3	1.8	1.9
Eurozone Inflation (YoY%)	2.8%	2.8	2.8	2.7	2.2	2.1	2.1	4.0	4.1	3.7	2.5	2.1	2.0
ECB Deposit Rate (%)	2.25	2.50	2.50	2.50	2.25	2.25	2.25	2.50	2.75	2.75	2.75	2.50	2.25
Fed Funds Rate (%)	3.75	3.75	3.75	3.75	3.50	3.25	3.25	3.75	4.00	4.00	4.00	3.75	3.25
2Y EUR swap rate (%)	2.87	2.90	2.75	2.65	2.55	2.55	2.55	3.05	3.10	3.00	2.90	2.60	2.50
10Y EUR swap rate (%)	3.13	3.05	3.00	2.90	2.85	2.95	3.05	3.20	3.20	3.00	2.90	2.90	2.90
2Y USD swap rate (%)	4.07	4.00	3.85	3.55	3.35	3.25	3.25	4.10	4.05	3.90	3.60	3.40	3.20
10Y USD swap rate (%)	4.16	4.10	4.10	3.85	3.85	3.85	3.95	4.20	4.15	4.05	3.70	3.70	3.70
EUR/USD	1.1400	1.17	1.18	1.18	1.20	1.21	1.22	1.12	1.14	1.15	1.17	1.18	1.20

Source: ING

Oil off its highs but risks return

Oil prices came under significant pressure following the temporary deal between the US and Iran. But the recent flare-up in hostilities poses risks. The key factors for the outlook remain the sustainability of the Persian Gulf supply recovery and how soon Chinese buying returns to the market

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We're now expecting Brent to average \$80/bbl in 3Q26 and \$74/bbl in 4Q26

Oil supply recovery clashes with weak Chinese buying

The oil market came under significant pressure following the Memorandum of Understanding between the US and Iran on 17 June. The deal allowed oil flows to recover at a much quicker pace than expected, which led to a weakening in the physical oil market. The return of Persian Gulf supply coincided with the continued release of oil from strategic reserves, along with demand recovering at a relatively slower pace than supply.

However, it is important to note that flows have not fully normalised. And, the latest escalation in US-Iran military tensions this week raises new risks. Vessels transiting the Strait of Hormuz remain well below pre-war levels. And recent developments show that safe passage of vessels is still an issue facing the market. When volumes bypassing the Strait are taken into account, oil flows have been in the region of 14m b/d – still far below the pre-war levels of 20m b/d, but up significantly from the levels seen during the peak of the war.

We had originally anticipated that the normalisation of oil flows from the Persian Gulf would take much of the third quarter; it is possible that this normalisation could be achieved by the end of July. However, this is a very fluid situation, and this can certainly change depending on how recent events unfold.

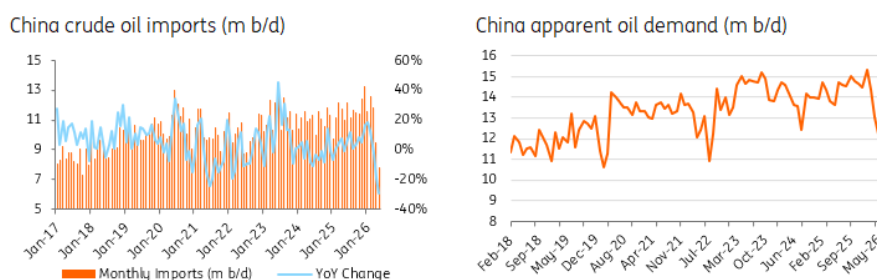
The quicker ramp-up has led us to revise our ICE Brent forecast lower for the remainder of the year. We're now expecting Brent to average \$80/bbl in 3Q26 and \$74/bbl in 4Q26. Meanwhile, for 2027, we forecast Brent to average \$70/bbl. The key assumption behind these forecasts has been that there would be no further meaningful disruptions to flows through the Strait of Hormuz. This may be too optimistic, given the recent re-escalation. And in reality, we could see the market trading between our base case and our more aggressive scenario, where Brent tests \$100/bbl in the third quarter.

Our balance sheet still shows the market in a slight deficit in the third quarter of this year, before returning to a surplus in the fourth quarter and then a meaningful surplus in 2027. As a result, we do expect the market to find some support in the near term, once we have cleared the overhang of tankers that have been stranded in the Persian Gulf. Clearly, risks around the broader ceasefire should also offer some support.

Apart from Persian Gulf oil flows, the other key factor for the outlook is Chinese demand. China has been crucial in helping balance the market through the Iran war, cutting imports significantly. Crude oil imports were down 30% year-on-year in May, and vessel tracking data suggests imports fell even further in June.

The biggest uncertainty for the market is when China returns to buying. A prolonged absence could keep pressure on prices. With the government relaxing export restrictions on refined products, we could start to see refiners increasing run rates, supporting crude demand. But that won't be enough. We also need to see a recovery in domestic demand, which is estimated to have been down 1.4m b/d year-on-year in 2Q26.

China has helped rebalance the market through Persian Gulf supply disruptions



Source: NBS, China Customs, ING Research

European natural gas remains vulnerable

European natural gas prices held up better than oil prices following the MoU, with the LNG supply recovery more modest. Also, the ramp-up of LNG plants in Qatar will also take time. QatarEnergy has extended the force majeure on some supply until early September.

LNG imports into Europe have come under pressure as Asia competes more aggressively for spot cargoes, with flows from the Middle East still heavily disrupted.

These lower import volumes have coincided with heatwaves across Europe, which would have boosted gas demand for power generation needs to meet cooling demand.

As a result, EU gas storage remains tight, having only recently passed the 50% level, well below the five-year average of 66% full at this point in the year. It's looking as though it will be difficult for the region to hit even the lowest target of 75% under EU rules. El Niño conditions may mean a milder start to the 26/27 heating season, which would offer some relief to the market, but this isn't guaranteed.

We expect European natural gas prices to remain well-supported until the end of the 2026/27 winter.

Our latest views on the major central banks

Our take on what could be next for the Federal Reserve, the European Central Bank and the Bank of England over the coming months

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Global monetary policy remains the key driver of interest-rate expectations as investors reassess the outlook for the Federal Reserve, European Central Bank and Bank of England

Federal Reserve

A more hawkish-than-anticipated June FOMC meeting fuelled market expectations for a Federal Reserve rate hike this year. But oil prices are down sharply from their peaks (despite this week's uptick) and if renewed tensions in the Middle East do not escalate further, the inflation backdrop should improve markedly over the coming months. Slowing shelter inflation, which has a 35% weighting within the consumer price index, should also help lower the headline rate given stagnant home prices and private sector surveys reporting outright rent falls in a growing number of areas.

The lacklustre jobs market means wage pressures are subdued, while the one-off step increase in costs caused by tariffs will start to drop out of the annual inflation calculation through the second half of this year. Refunds of the "Liberation Day" IEEPA tariffs will further help lower corporate costs.

While in June, nine FOMC members felt they would need to raise interest rates this year, it is important to remember that nine others did not. We agree with that second group. A lack of vigour in the jobs market and the prospect of lower inflation means a lengthy pause is our call before eventual rate cuts in mid to late 2027 bring the policy rate down to a neutral level of around 3.25%.

James Knightley

European Central Bank

The drop in oil prices in June may have led some ECB officials to question whether the June rate hike was really necessary. Historically, it is rare for the ECB to embark on a new tightening cycle ahead of other major central banks. It would be a bittersweet irony if this display of global leadership were eventually judged to have been a mistake.

However, the recent rebound in oil prices amid renewed Middle East tensions serves as a reminder that the inflation outlook remains far from settled.

At the ECB conference in Sintra, President Christine Lagarde reiterated that the June hike was not an insurance move. Rather, it reflected an outlook of persistently elevated headline and core inflation, with ECB forecasts showing headline inflation above 2% in both 2027 and 2028 and core inflation at 2.7% in early 2027.

The decline in energy prices seen in June increased the likelihood that future forecasts could show headline inflation falling below 2% in 2027. Would such a scenario prevent the ECB from delivering a second rate hike this summer? Judging from Lagarde's recent remarks, as well as those of other policymakers, the answer appears to be no.

In fact, the ECB still looks set to hike again. As long as core inflation forecasts are not revised materially lower, there appears to be little standing in the way of another rate hike. Whether a second increase is really what the eurozone economy needs remains a different story. Carsten Brzeski

Bank of England

With oil prices down from earlier peaks, a Bank of England rate hike now looks highly unlikely. Financial markets are still pricing a single rate rise over the next 12 months. But inflation is now unlikely to go much above 3% this summer and is likely to be much closer to 2% by next summer. That's helped by ever-lower wage growth – now at 2.9% in the private sector, down from over 6% 18 months ago, and biased even lower in the short-term. That goes hand in hand with further weakness in the jobs market.

That all points to rate cuts in 2027 – something markets aren't currently pricing. But a lot depends on the politics and what Makerfield MP Andy Burnham – who is highly likely to become prime minister this month – opts for at the Autumn Budget.

For now, we expect two cuts in 2027, in 2Q and 4Q.

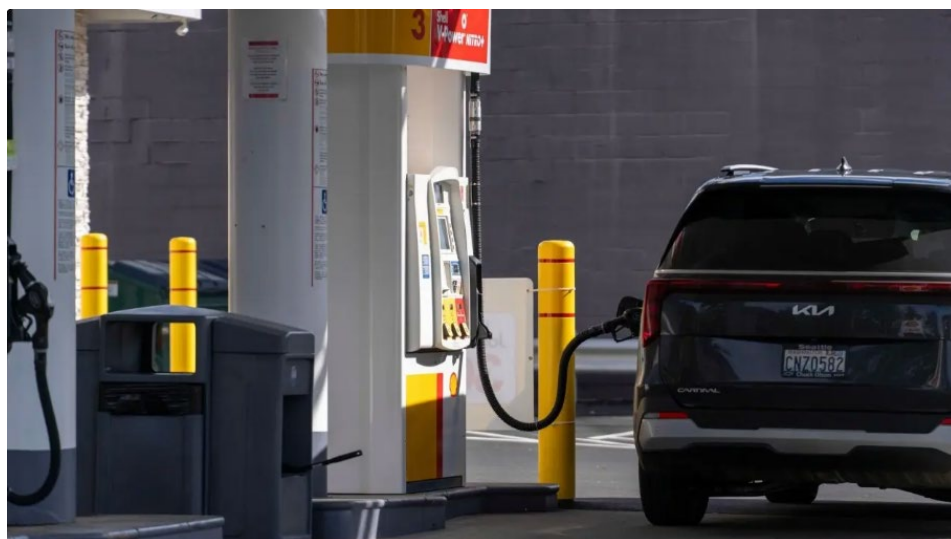
James Smith

Slowing US inflation to keep the Fed on hold

James Knightley

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Lower motor fuel prices are bringing relief for consumers and suggest that inflation may have peaked. Slowing housing rents, weak wage growth and a waning influence from tariffs should more than offset concerns tied to tech-related inflation pressures. With the jobs market offering little, we expect the Fed to stay on hold until summer 2027

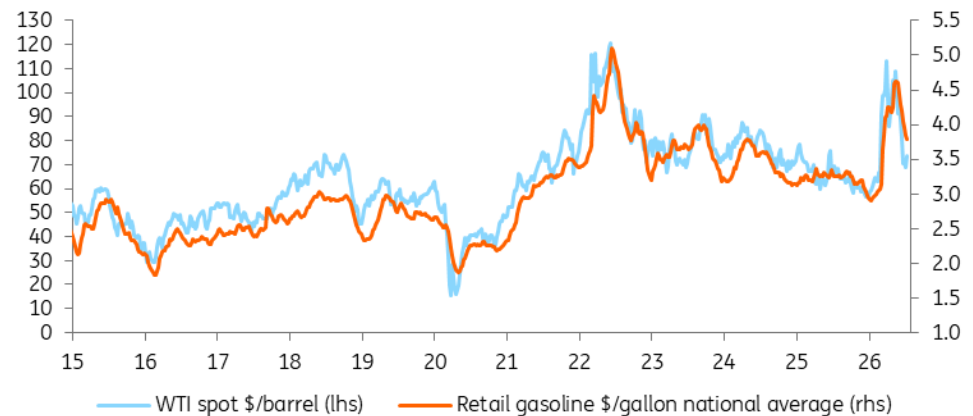


Falling fuel costs are providing relief for consumers

Oil remains below its peaks, easing inflation and supporting consumers

While we had argued that the United States' energy independence meant it was more insulated than most from the economic pain caused by the closure of the Strait of Hormuz, the fact that oil has been flowing has provided clear relief via lower global fuel prices. If the trend continues – although the risks to that outlook have clearly increased following the recent resurgence in hostilities – it should help to ease fuel costs, moderate freight transportation expenses and gradually lower airline fares, suggesting that headline inflation has peaked.

If oil prices remain below their peaks, lower energy costs should provide relief for consumers and help real household disposable incomes, which have fallen in recent months. The jobs market has also shown some improvement. Even though the June employment report was not as firm as hoped, job creation has averaged 137,000 over the past four months, much better than the 8,751 per month averaged in the January 2025 to February 2026 period. As such, we have modestly revised our consumer spending forecasts higher, which lifts our 2026 GDP forecast to 2.3%. Nonetheless, we remain wary of the growth concentration risks with strength in activity dominated by higher-income household spending and tech-related investment projects.

Lower oil prices suggest further falls in gasoline are on the cards

Source: Macrobond, ING

Eventual rate cuts more likely than rate hikes

In terms of the second half of 2026, there are three key hot topics. First, inflation and the Fed. Financial markets continue to price around a one-and-a-half 25bp Federal Reserve interest rate increase over the next 12 months, but we are sticking to the view that the Fed will instead choose to wait. While nine members of the FOMC think that they are likely to raise rates at some point, a further nine don't (Kevin Warsh didn't give an opinion). We are aligned with that latter group of nine.

Lower energy prices, cooling housing rents, weak wage growth and a diminishing influence from tariffs should allow inflation to cool gradually throughout the second half of 2026, before YoY changes in gasoline costs lead to a hefty plunge in the second quarter of 2027. This should open the door to eventual rate cuts. Higher prices for tech products tied to chip shortages will attract attention, but it is important to remember that they carry a tiny weight within the CPI basket – 0.3pp for computer equipment and 0.4pp for telephone hardware and calculators.

Disappointing jobs numbers pose political challenges

Second, will the jobs market shake off the low-hire, low-fire tag – which would boost the chances of a Fed rate hike – and will we see more of an AI impact? Well, business surveys continue to point to weak hiring and private sector data on job vacancies suggest it is a very tough market right now. Similar sentiments about the strength of the jobs market are seen in consumer surveys, while the sizeable drop in the labour participation rates suggests a growing disillusionment amongst jobseekers. We still think weak jobs growth largely reflects a hangover from overly aggressive hiring in the post-pandemic reopening frenzy. Lower energy costs and improved geopolitical sentiment may help to support hiring, but the potential opportunities of AI appear to be making firms reluctant to take the initiative. Consequently, we expect the jobs market to remain tepid.

The disappointment surrounding jobs and a general sense that, despite strong growth and robust stock markets, much of the US population is not feeling the benefits feed through into the third topic – politics. The 3 November mid-term elections in the US will see all 435 House of Representative seats up for election and 35 of the 100 Senate seats. Current polling suggests a high probability that Democrats will win control of the House, but are likely to fall short of flipping four of the 22 Republican seats up for election needed to win control in the Senate. The net result will be that President Trump will have any legislation blocked by the House Democrats, but the Democrats' efforts to initiate impeachment proceedings against President Trump will not be ratified by the Republican-controlled Senate. As such, the final two years of President Trump's term are likely to see him having to focus on trade and foreign policy.

A fragile reprieve for the eurozone

As a net energy importer, lower oil prices are clearly favourable for the eurozone. A Goldilocks scenario – where inflation moderates and growth picks up again – remains the baseline, although renewed Middle East tensions have increased the risks around that outlook

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Nice, France: Falling oil prices have given the eurozone a welcome economic boost

Lower oil prices have offered a reprieve

The Memorandum of Understanding between the US and Iran gave the eurozone a reprieve from soaring energy prices, as flows through the Strait of Hormuz resumed. However, recent tensions have again highlighted how fragile the situation remains. There is still no deal between the parties, any negotiations continue to be clouded in uncertainty and new escalations can happen almost any time.

Economic growth in the second quarter was likely sluggish as geopolitical tensions and a surge in war-related costs weighed on output, even though some industries may have benefited from Asian competitors being hit harder by the disruption to trade through the Persian Gulf. Sentiment indicators started to improve cautiously ahead of the MoU, and growth could pick up over the second half of the year if energy prices remain contained and the Middle East situation does not escalate further. Lower energy prices have improved household finances, reduced geopolitical uncertainty has supported business confidence, and longer-term fiscal stimulus – particularly through German defence and infrastructure spending – is finally beginning to feed through to the economy.

Inflation concerns eased as oil prices returned to pre-war levels

Declining oil prices in June had a direct effect on inflation expectations. Inflation fell as energy and services inflation both ticked down. Most relevant to the inflation outlook is whether businesses will now become more reluctant to push higher input costs through to customers. Initial surveys have suggested that this is the case, although we do still expect elevated core inflation for the quarters ahead.

Less action potentially needed from the ECB

If headline inflation moderates further from here, the reasons for the European Central Bank to hike rates forcefully will fade. The central bank should therefore be wary of repeating the mistakes of previous commodity shocks and having to quickly reverse an overly aggressive tightening cycle. We think it will sit out the July meeting to see how the situation in the Middle East evolves. But with higher core inflation, the central bank could hike once more in September if inflation risks still provide reason for concern.

3 things to watch in the second half of the year

- 1) With energy prices down from their recent highs – despite this week's uptick – a second rate hike from the European Central Bank might no longer be necessary. Yet the Bank could still feel inclined to deliver it. Balancing what the eurozone economy really needs against the preservation of its own credibility may prove to be the ECB's main challenge in the second half of the year.
- 2) The labour market will also remain firmly in focus. Having been remarkably resilient across much of the eurozone, it now faces new challenges. The growing adoption of AI could weigh on labour demand in some sectors, reducing wage pressures and adding to the broader disinflationary forces already at work.
- 3) The second half of the year should also provide more clarity on whether Europe is actually able to deliver on its promises and pick up where it left off when the war in the Middle East started. The February informal leaders' summit presented big plans to improve the single market, energy policies and capital markets union. Making real progress on these issues could be the real 'global euro' moment.

3 key questions for China's second half of 2026

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China's economy has seen a growing divergence this year, with two distinct K-shaped trends moving in opposite directions. Here, we look at three questions for the second half of 2026: does the divergence persist, does the central bank rethink its policy framework, and do policymakers deploy additional support?



The question is whether policymakers can stabilise domestic demand and find a bottom for the property market

Will China's economy continue to diverge in 2H?

The divergence of China's economy continues to widen. This trend is exemplified by two overlapping K-shape dynamics that are only strengthening.

The first is the gap between external and domestic demand. This has been the case for the past few years, as China's exports found solid global demand while domestic demand lagged. Explanations for this latter challenge include continued wealth destruction from the property downturn and wage growth slowing due to involution-type competition in a near-deflationary environment.

The second is the variance between China's 'new' and 'old' economies. The tech-focused new economy continues to perform solidly this year. Hi-tech manufacturing has grown 13.1% year-on-year, year-to-date, while hi-tech fixed asset investment has grown 4.5% YoY YTD. Yet the old economy looks quite soft. Overall, FAI is -4.1% YoY YTD, real estate investment is down -16.2%, and infrastructure investment is up just 0.6%.

The trend is quite clear. The question is, could we see this divergence narrow in the second half of the year? The answer likely depends on whether policymakers can stabilise domestic demand and find a bottom for the property market. Measures to this end should be underway.

Is the PBoC set to revamp its monetary policy framework again?

The People's Bank of China unveiled a new policy tool at the end of June, conducting RMB 900bn of overnight reverse repo operations over two days. Markets have been speculating that the PBoC might eventually shift its policy rate from the current 7-day reverse repo rate to the overnight rate. These operations appear to be setting the groundwork for this pivot. The interest rate wasn't published, and the PBoC didn't announce further use of the overnight facility in early July. This suggests the 7-day rate remains the primary benchmark for now and that the shift will likely take some time.

Since the overnight rate remains the most liquid and important rate, the PBoC will likely seek to improve monetary policy transmission by eventually targeting it.

Will we see more support after this month's Politburo meeting?

China's Politburo will hold a meeting this month, likely toward the end of July. There are rising expectations that it might signal a more proactive policy stance after several months of decelerating economic data.

We're likely to see growth remain comfortably within the target range of 4.5-5% for the first half of 2026. We expect first-half 2026 growth to be around 4.8% YoY. Further deterioration in data could increase pressure for greater policy support this year.

In terms of fiscal policy, this year's Two Sessions in March left targets unchanged from those in 2025. As such, the market is generally not hopeful about any major surge in spending. Using the budget already announced, we expect further measures to support consumption, with the most likely target to be the services sector. Also, we could see measures to boost household spending power by supporting income growth and strengthening the social safety net. There could be increased urgency to deploy the funds already approved for this year, but we aren't expecting new approvals yet.

For monetary policy, the drop in energy prices and potentially softer inflation for the rest of the year could prompt the PBoC to ease in the third quarter rather than wait until the fourth. We've moved our 10bp rate-cut forecast to 3Q26.

Lower oil prices a boon for Britain, Burnham and the Bank of England

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UK inflation is unlikely to peak much above 3% this year, taking some of the pressure off the public finances and the Bank of England to hike interest rates



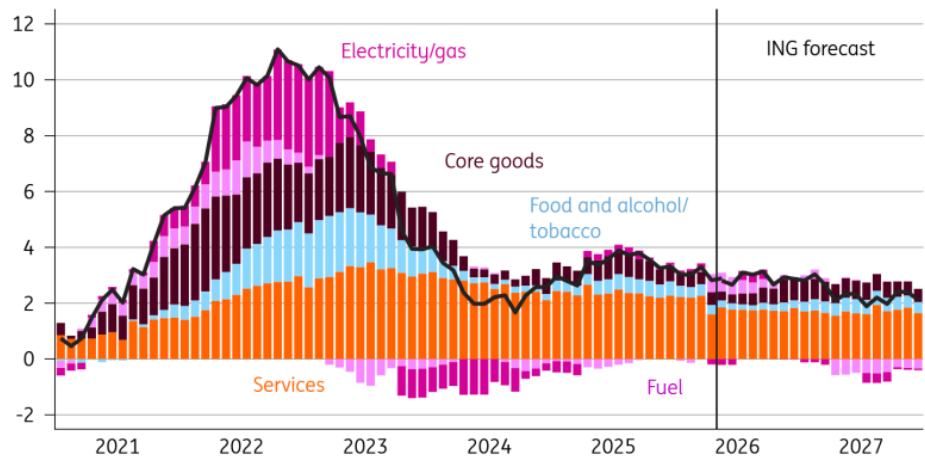
Andy Burnham is highly likely to succeed Keir Starmer later this month

Lower oil prices are good for Burnham and the Bank of England

Britain is on the verge of its seventh prime minister in 10 years. Andy Burnham, former Mayor of Greater Manchester and newly elected MP for Makerfield, is highly likely to take over from Keir Starmer later this month. And whisper it, but his economic inheritance doesn't look too bad – or at least, not as bad as it could have been just a few weeks ago.

First, lower oil prices mean inflation is unlikely to rise much above 3% this year. July's 13% increase in household energy bills now looks set to be largely reversed by a 9% fall in October, assuming current gas prices hold. Not only would that leave CPI below last year's 3.8% peak, when the Bank of England was still cutting rates, but also below the 4% level that BoE research suggests is more likely to trigger longer-lasting second-round effects.

That eases pressure on the Burnham government to cushion households from living-cost pressures, though some support remains possible in the Autumn Budget. Bank of England tightening expectations have come down from their peak on lower oil prices, meaning debt-interest projections shouldn't rise as much as feared a month or two ago. Together with slower net migration and other forecast downgrades, as things stand, the OBR is likely to knock around £10bn off Treasury headroom under its current budget rule. Even so, that should leave enough room to avoid a fresh round of fiscal tightening simply to keep the numbers adding up – something that current Chancellor Rachel Reeves has previously had to contend with.

Contributions to UK headline inflation (YoY%)

Source: Macrobond, ING

Second, Britain's public finances are improving, in contrast to the rest of the G7. Notwithstanding uncertainty surrounding the Iran war, the UK is the only such economy set to deliver a materially smaller structural deficit this year, helped by the continued freeze in tax thresholds.

Third, Burnham will benefit from a little-known change to the fiscal framework expected to take effect this autumn. In short, the Treasury will allow itself to run a current budget deficit of up to 0.5% of GDP three years ahead, potentially freeing up £17-18bn for day-to-day spending and/or tax cuts.

That isn't to say there won't be challenges. Burnham is pledging substantially higher investment, on top of the latest defence spending commitments. Headroom under the debt rule is much tighter, and bond markets remain sensitive to large increases in borrowing.

3 calls for the second half of the year

As for the rest of 2026, these are our key calls:

- 1) The Bank of England won't raise rates and will return to two cuts in 2027.
- 2) Inflation will peak below 3.5%, so long as oil prices don't go much above 80 USD/bbl, while the labour market remains under pressure.
- 3) The Autumn Budget is likely to combine higher departmental spending with tax rises in areas such as corporation tax – all while remaining within the existing fiscal rules. Bolder decisions will likely be pushed back into 2027.

Oil prices still offer relief for Asia, but no policy pivot

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With oil prices still below their recent peaks, inflationary and external pressures across Asia have eased somewhat. But second-order inflation effects and FX vulnerabilities remain key constraints. Central banks are likely to maintain a tightening bias until price pressures and external balances improve



While lower oil prices have supported net importers such as India, the Philippines and Indonesia, they are unlikely to drive a sustained recovery on their own

Inflationary pressures continue to build, limiting scope for policy pivot

We are broadly maintaining our rates and FX views even though oil prices are off their earlier peaks. While Asia stands to benefit significantly from lower fuel costs, central banks are unlikely to take further tightening off the table until there is clearer evidence that both food and core inflation are moderating. In our view, policymakers in the Philippines, Indonesia, South Korea and Japan remain on course to continue tightening as expected. India and Thailand may have some scope to delay rate hikes at the margin, though not to abandon them altogether.

We now expect Brent crude oil to average around US\$80/bbl in 3Q. Lower energy prices should provide some relief for economies such as the Philippines, where fuel subsidies have been relatively limited and domestic pump prices have adjusted more directly to movements in global oil markets. However, inflation is likely to remain well above the Bangko Sentral ng Pilipinas' (BSP's) 2-4% target range for the remainder of the year, as spillover effects from previous increases in oil prices keep food and core inflation higher-for-longer. As a result, a more sustained and meaningful moderation in CPI inflation would be required for the BSP to reconsider the additional 50bp of rate hikes that we currently have pencilled in for the rest of 2026.

Indonesia's central bank continues to face challenges in stabilising the rupiah despite its recent rate increases. Limited visibility on the policy mix – including the fiscal strategy, the sovereign rating trajectory, and the broader growth agenda – continues to weigh on sentiment. Hence, currency pressures remain elevated, suggesting that monetary policy will need to stay focused on external stability as well as inflation containment.

Meanwhile, there are growing signs that inflationary pressures are broadening in both Japan and Korea. In Japan, the Tankan survey pointed to rising input costs and strengthening pricing power among firms, suggesting that the pass-through of higher costs to final prices is becoming more entrenched, especially with the Japanese yen at

multi-year lows. In Korea, both food and core inflation moved higher in June, reinforcing the view that underlying price pressures remain firm despite some easing in global commodity prices. Together, these developments support our expectation that both the Bank of Japan and the Bank of Korea will continue normalising policy.

Asian currencies need more than oil-led support

Asian currencies have come under pressure again after a brief relief rally. While lower oil prices have supported net importers such as India, the Philippines and Indonesia, they are unlikely to drive a sustained recovery on their own, particularly amid a strong US dollar environment. A more durable rebound will require stronger domestic fundamentals and steadier capital inflows.

The Indian rupee (INR) and Indonesian rupiah (IDR) have both recovered modestly, helped by improved foreign demand for local bonds. India boosted investor attractiveness by removing capital gains tax and withholding tax on interest from government securities, while Indonesia has benefited from higher local yields.

However, lasting currency gains will depend on lower energy import costs being complemented by stronger capital-account buffers and more persistent foreign inflows. We remain relatively constructive on INR, supported by recent RBI measures aimed at narrowing the balance-of-payments gap. By contrast, concerns over Indonesia's policy direction could continue to weigh on sentiment, leaving IDR vulnerable to underperforming regional peers.

Overall, until there is clearer evidence of stronger capital-account dynamics, FX fragility is likely to remain a constraint. This, in turn, could limit how quickly regional central banks are able to shift away from a tight policy stance.

3 things to watch in the second half of the year

- 1) The evolution and intensity of El Niño, alongside lingering spillover effects from higher oil prices into services inflation, will be key to watch. A severe weather shock could disrupt agricultural output, lift food prices, and reignite inflationary pressures across Southeast Asia. Combined with sticky services inflation, this could complicate the disinflation process from potentially lower oil prices.
- 2) A key question is whether the tech-led growth outperformance in Korea, Malaysia, Singapore and Taiwan can broaden into a recovery in domestic consumption. A more balanced growth mix would make Asia's growth trajectory more sustainable.
- 3) How the rapid expansion of AI-driven investment is reshaping FDI patterns across Asia. Economies positioned to attract AI-related manufacturing, data infrastructure, and technology investments are likely to see stronger capital inflows and create conditions that are more conducive to local currency appreciation.

CEE: Inflation relief reshapes the rates outlook

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Central and Eastern Europe starts the second half of the year with softer inflation and a more dovish rates outlook. Poland has shifted from rate hike fears to speculation about cuts; Czech rates are likely to stay on hold, while Hungary offers the clearest recovery story as inflation eases, allowing the central bank to cut further



Lower inflation is giving Central and Eastern European central banks greater room to support growth through easier monetary policy

Poland: From hikes to cuts?

Inflation prospects have improved markedly in recent weeks, while the growth outlook remains solid. Looking ahead into the second half of the year, we see three key issues to watch:

- 1) A potential dovish twist in the National Bank of Poland's (NBP) monetary policy (a rate cut in 2026 is not our baseline scenario).
- 2) The 2027 budget project before next year's general elections.
- 3) The cumulation of projects financed from Recovery and Resilience Funds (RRF) and its impact on fixed investment.

The surprisingly low inflation reading in May, together with the US-Iran peace deal and the resulting fall in oil prices, shifted market expectations dramatically. At the start of June, markets were pricing in three further rate hikes; they're now pricing in rate cuts. Throughout the entire US-Iran war, we held the view that the NBP would keep rates unchanged. Our baseline scenario still assumes that rates will remain on hold until the end of 2026 as we see CPI slightly above the target of 2.5% year-on-year. But we expect mounting speculation about rate cuts after the summer. In our view, the next move in monetary policy might be a cut, but this is more likely to come in 2027, when we see inflation dropping slightly below target.

At the end of August and beginning of September, investors are likely to focus on the draft bill of the 2027 budget. With general elections scheduled for next year and several fiscal promises from the previous election campaign still undelivered, we do not expect any meaningful fiscal consolidation. At the same time, the sizeable fiscal deficit leaves little room for significant new spending or rate cuts.

The completion of the RRF programme is drawing closer, and the final wave of EU funding should provide a further boost to investment activity. Poland is due to receive a further €8bn from the RRF in September, followed by the final, and largest, payment of €12.6bn in December.

Czech Republic: Modest inflation amid a still sub-potential output

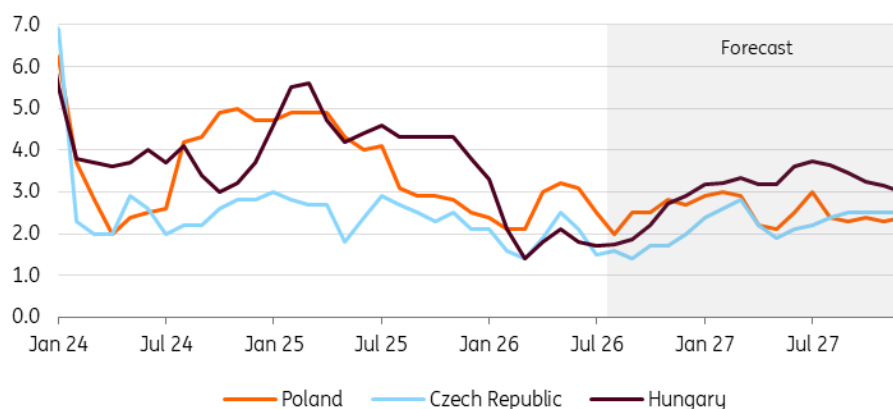
Czech Inflation surprised to the downside in June, mainly due to a sharp drop in food prices, and is set to land below the target this year on average. We do not expect either headline or core inflation to rise significantly over the forecast horizon, despite an anticipated rebound in food prices. Agricultural producer prices are likely to post steady annual growth by year-end and could peak at around 8% in mid-2027. This reflects below-average forecasts for the Czech grain harvest following the exceptional spring drought. After a year of providing little inflationary pressure, food prices are set to become a key driver of inflation over the coming year, pushing headline inflation to an average of 2.5%.

Still, we expect the Czech National Bank to keep policy rates unchanged for quite some time, as the economy is still running below its potential, according to our estimates. In the second half of the year, we believe that the following three things could shape the Czech story:

- 1) The onset of a robust expansion in Czech industry.
- 2) Persistent re-tightening in the labour market.
- 3) A bottoming out of food prices.

All are possible to some extent, but if all three occur, it could herald a structural shift or have implications for monetary policy. Should the economy enter an overheating phase as manufacturing gets into full swing, tighter monetary policy could be warranted to dampen broad inflationary pressures. We are not there yet, but we are travelling in that direction. In any case, real interest rates are set to remain above 1% over the forecast horizon, supporting the koruna. The currency should also benefit from the Czech economy continuing to outperform the eurozone.

Headline inflation forecast (%)



Source: Macrobond, ING estimates

Hungary: Is it time to be optimistic again?

After several challenging years of stagnating GDP, high inflation, and elevated interest rates, it seems that Hungary has finally found a way out of the woods. Negative economic surprises had undermined our faith in the country's future, but perhaps it is time to become outright optimistic again. The economic activity data for April and May suggest an upside surprise in second-quarter GDP growth. Therefore, we generally acknowledge that there are positive risks surrounding our 1.5% economic activity forecast for 2026.

Despite the energy price shock caused by the blockade of the Strait of Hormuz, Hungarian inflation has proved resilient and defied expectations by declining for the past two months. Against this backdrop, we have revised our inflation forecast for 2026 down to an average of 2.1% and now expect inflation to reach 3% by the end of this year. With our inflation forecast for 2027 cut to 3.3%, our monetary policy outlook has become more dovish.

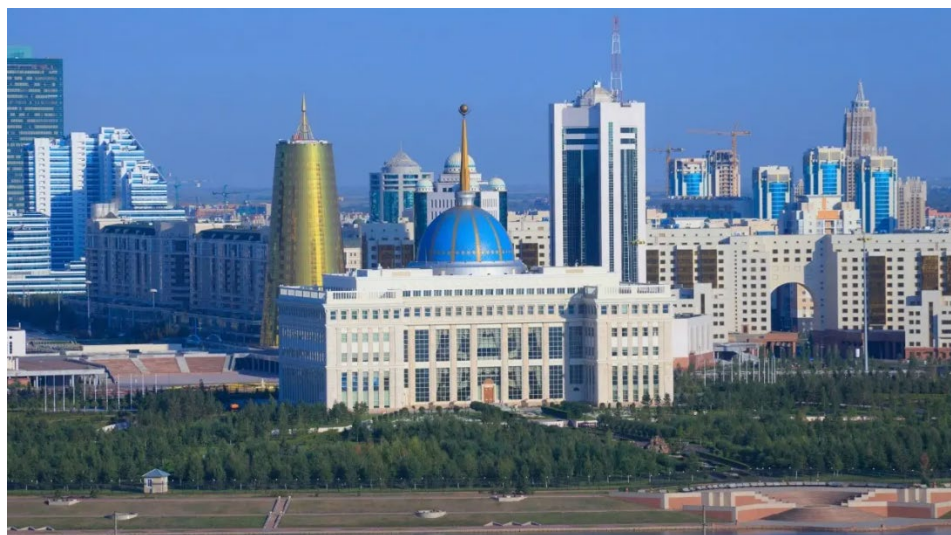
We expect the National Bank of Hungary to cut the base rate from 6.00% to 5.00% during its upgraded 'midi-cycle'. With lower interest rates and bond yields reducing the attractiveness of carry trades, the forint is unlikely to benefit from significant capital inflows. As a result, exchange rate stability will be crucial in keeping inflation close to 3%, and is likely to limit further rate cuts until late 2027. We then expect a gradual easing cycle to resume, with the policy rate reaching a terminal level of 4.00% by the end of 2028.

Lower inflation, fiscal consolidation and progress towards euro adoption should keep government bond yields on a downward trajectory, which will greatly help to reduce debt servicing costs in the coming years. With this in mind, we do not envisage the fiscal trajectory being an obstacle to euro adoption. The more significant challenge lies with inflation, which will need to fall to 2% despite a buoyant economy and a positive output gap that is likely to generate demand-driven inflationary pressures in the years ahead.

CIS-4 resilience to face tests in the second half of 2026

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Amid volatility in global commodity markets, the CIS-4 is starting the second half of the year with stronger financial buffers, stable FX and resilient demand, but inflation risks remain sticky. Foreign-policy spillovers, rate path uncertainty and market access will decide how much support the regional markets can retain



Astana, Kazakhstan. Strong buffers are helping CIS-4 weather volatility, though external risks remain firmly in focus

Stronger financial buffers, stickier inflation risks

Since our [previous monthly update](#), the CIS-4 has demonstrated continued strengthening in its financial position, resilient domestic demand and exchange rates, as well as central banks being more cautious amid elevated inflation risks. Foreign policy challenges remain in focus for most of the countries in the region.

In **Armenia**, the ruling party's re-election was followed by renewed Russian pressure in the form of agricultural import restrictions, while the EU offered a counterweight with proposed tariff-free access for up to 80% of Armenian exports. The Central Bank of Armenia [kept rates at 6.50%](#) on 16 June and gave a neutral signal, but since then, inflation has risen from 4.2% in May to 5.1% year-on-year in June, as imported food inflation pushes the overall CPI further away from the long-term target of 3%. The next decision is likely to be a choice between a hold and a hike, despite the continued strength of the dram.

In **Azerbaijan**, the macro story remains focused on strong finances and weak economic growth. The news regarding the prospects of trade and financial flows remains positive, with BP considering further gas investment in the ACG field and a long-term Absheron gas supply deal to Turkey from 2029. Fitch's BBB- affirmation highlighted low public debt and large sovereign assets. However, a 0.3% YoY GDP contraction in the first quarter amid subdued output in the fuel sector has led to a downgrade in full-year expectations. The Central Bank of Azerbaijan [kept rates unchanged at 6.50%](#) on 24 June, and the guidance suggests that an extended period of unchanged rates is likely, as CPI is gravitating around the upper bound of the 4±2% target range.

Kazakhstan's main surprise was the [National Bank's 100bp cut to 17% in June](#), although the Governor warned against assuming a full easing cycle. Oil-sector disruption at Karachaganak, linked to the Orenburg gas plant shutdown, underlined exposure to Russia-Ukraine spillovers – even as output partially resumed – and the oil target was

maintained. The tenge strengthened towards the end of June despite flat oil prices, suggesting support is coming from capital inflows, mostly likely of a portfolio nature amid expectations of connection to Euroclear and planned bond placements.

Uzbekistan has received positive credit-rating news, with Fitch moving the outlook to positive and Moody's upgrading the sovereign to Ba2, citing reform progress, fiscal discipline and energy subsidy adjustments. Fiscal consolidation was confirmed by the first-quarter data, which showed a reduction in the consolidated deficit to 1.2% of GDP (4Q trailing sum) from 2.1% in 2025 and 3.1% in 2024. The Central Bank of Uzbekistan kept rates at 14.00% on 17 Jun, disregarding a material CPI slowdown and noting demand-side and external price risks. In June, CPI re-accelerated to 6.4% after May's 5.5% YoY as some base effects wore off, but the overall level still suggests some scope for easing in the second half of the year. The soum was stable, as weaker gold prices and the renewed pause in gold exports in May were likely offset by continued foreign portfolio inflows in the local financial market.

2H26 hinges on foreign policy spillovers, inflation persistence and market access

For the second half of 2026, the first watch factor is foreign policy orientation. The Armenia-Russia-EU trade triangle, Azerbaijan-Russia tensions and Kazakhstan's energy disruptions all show that Russia-Ukraine spillovers are a valid macro variable.

Secondly, the scale of global inflation spillovers will determine if the medium-term rate trajectory continues its downward trend. Armenia's food inflation, Kazakhstan's high producer prices and Uzbekistan's CPI re-acceleration argue for caution, even where nominal rates remain elevated.

Thirdly, market access and portfolio flows can outweigh trade in terms of importance for the FX market. Kazakhstan's planned Eurobond and Samurai placements, Uzbekistan's improving rating trajectory and growing local bond market, and Azerbaijan's large sovereign assets will test whether investors continue to reward the region's buffers and reform stories despite fiscal, trade and geopolitical risks.

FX: Dollar dances in the dark

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The dollar has been enjoying the hawkish reassessment of Fed policy over the last couple of months. In practice, however, there hasn't been much communication from the Fed at all now that Kevin Warsh is stepping back from forward guidance. If we're right with our Fed call of unchanged policy, the dollar can hand back recent gains over the coming months



We're mildly dollar negative into year-end and into 2027

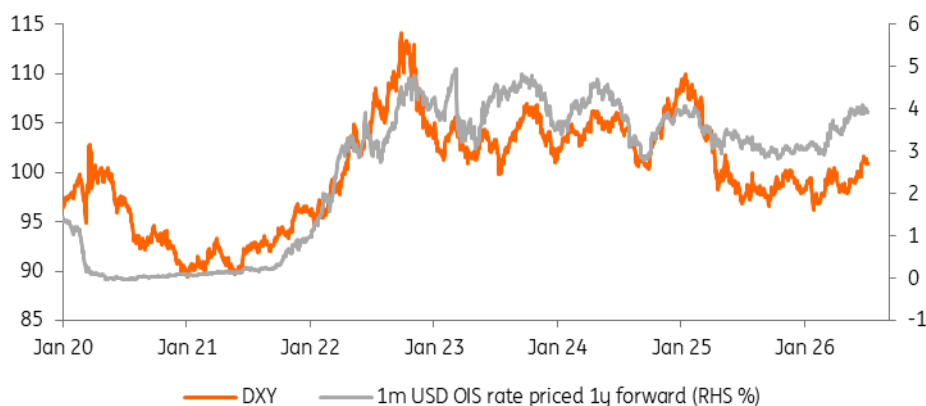
Fed story returns as dominant theme in FX

A stronger dollar was the obvious trade on the back of the attack on Iran. US energy independence and the terms-of-trade shock to Europe and Asia made the dollar the go-to currency in March.

Yet the resilience of risk assets and the stop-go nature of the conflict saw geopolitics take a lesser role in FX pricing over subsequent months. Now the path of Fed policy is firmly back in the driving seat. Here, better US data and a hawkish FOMC last month have the market pricing over 30bp of Fed hikes this year.

However, our house call is that the Fed will ride out the summer without touching rates and if that is the case, the dollar will need to come lower.

DXY dollar index versus short-dated US rate expectations



Source: Refinitiv, ING

3 interacting themes for the second half

1) Lower US rates and lower dollar hedging costs

As above, the house call of an unchanged Fed policy rate into next year is at odds with market pricing of hikes. If the Fed does indeed continue to look through temporarily higher inflation without hiking, short-dated US interest rates will be falling come September. That will bring dollar hedging costs lower and encourage foreign investors to raise FX hedge ratios on US assets. The cost for eurozone investors to hedge US assets, using three-month forwards, has already dropped to 1.5% p.a. from 2.5% over the last year. Those costs could well be narrowing further to 1.00% into next year based on our Fed profile.

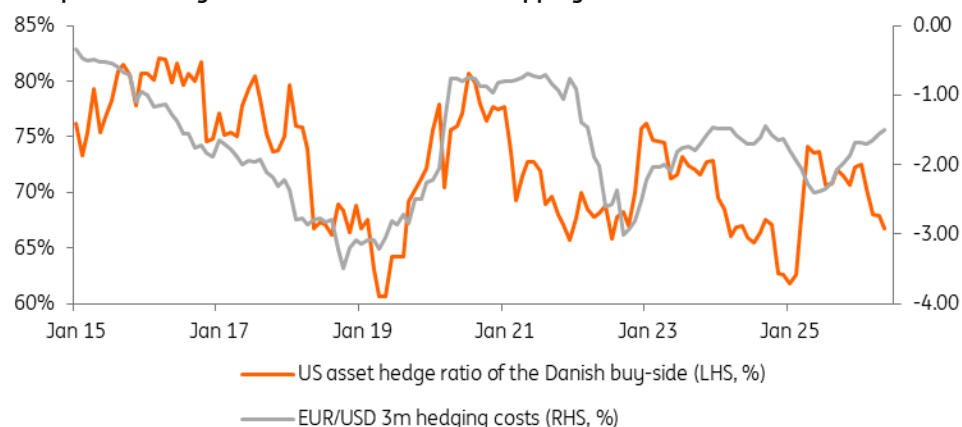
2) Dollar hedge ratios are relatively low

The hot topic in FX markets last year was foreign investors running low FX hedge ratios on their US assets at the start of the year and then aggressively raising them, selling dollars, after Liberation Day. One might say that lightning doesn't strike twice, but once again it looks like investors are running low hedge ratios again. Indications from the Danish buy-side suggest Europeans might be running dollar hedge ratios down at 67% on the view that the dollar is a good store of wealth given relatively high rates and its performance as a safe haven again during this year's Middle East crisis. That 67% hedge ratio is much lower than current hedging costs would normally suggest – which would be more like 73%. Thus, any loss of confidence in the dollar could see a similar adjustment in hedge ratios to that seen last April.

3) Mid-Term US election risk

If hedging costs are to come lower at a time when foreign investors are running low US hedge ratios again, what could be the trigger for an adjustment? Last year it was the erratic policy around tariffs on Liberation Day. This year we have US midterm elections in early November. The Republicans are widely expected to lose the House and withdraw President Trump's options to stimulate the economy with tax and spend policies. This could see a swing back to foreign policy and trade at the White House, which, given current long dollar positioning, could prove a threat to the dollar.

European FX hedge ratios on US assets are dropping



Source: Danish Central Bank, Refinitiv

Altogether, but largely driven by the Fed view, we're mildly dollar negative into year-end and into 2027. EUR/USD and USD/JPY can end this year near 1.18 and 158, respectively. Clearly, a Fed hike is not in our calculations, and if seen would merit firmer dollar forecasts across the board.

Rates: Curve pivots and steady spreads

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Our three calls for the second half of the year centre on the maintenance of high long-tenor real rates, a curve-steepening tendency on many core curves, and the stability of spreads between the US and the eurozone. And that includes US and eurozone swap spreads



It's a close call whether the Fed will hike rates this year. We think the central bank will hold rates steady for an extended period

Look for elevated real rates, steeper curves and Treasury/Bund/Swap stability

Over the past few weeks, we've been opining on long-dated real rates as a factor of significance for bond markets. Primarily, [here](#). There is a link, even if seemingly tenuous, with the ongoing technical and productivity revolution being discounted in the risk asset space. It's not easy to glean this from the ups and downs in bond yields through business cycles, but it's certainly there. They should be higher than normal, and certainly well above the ultra-low real rates seen post the global financial crisis / pandemic periods.

Meanwhile, inflation expectations have dampened dramatically and completely discount a reversal lower in the higher headline prints seen of late. The juxtaposition between the calming of inflation expectations versus the resilience to the rate hike narrative is tough to square, but we think the rate hike discount is mispriced. It is a very close call whether the Fed will hike rates this year, but on balance, we think it will instead choose to look through the near-term energy spike and hold rates steady for an extended period.

We stick to the view that the long end remains heavy (yields holding up), while the front end should richen (yields fall). The richness of the 5yr area of the curve suggests the same (the 5yr rate is below an interpolated line between the 2yr and 10yr rates). This can be seen on the eurozone curve, but it's especially pronounced on the US curve. When the 5yr is rich like this, rate hikes are typically not a dominant force. In fact, cuts are more probable.

Essentially, we have the US yield curve steepening from both ends. Front-end yields should get back below 4%, while the 10yr yield will have a tendency to hug the 4.5% area (and quite potentially test higher). The eurozone curve sees a similar tendency, as the front end calms on reduced rate hike pressure, and the back end holds steady, we think, with the 10yr holding broadly in the 3% area (Germany and Euribor).

Consequently, we don't anticipate much variation in Treasury/Bund spreads. We'd extend that to swap spreads, which appear quite comfortable at around zero for 10yr German Bunds and at or about 40bp for 10yr US Treasuries. There are deficit stories to be told, but they are not proving impactful, and we don't anticipate much change to this in the coming months.

GDP forecasts**QoQ% Annualised (avg)**

	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F	2028F
US	2.5	2.3	1.8	2.0	2.1	2.2	2.1	2.3	2.1	2.1
Japan	1.2	0.4	1.2	0.8	1.2	1.2	0.8	0.7	1.0	0.9
Germany	0.4	0.7	1.3	1.6	1.6	1.6	1.9	0.6	1.4	1.8
France	0.0	0.6	0.6	0.8	1.0	1.2	1.2	0.5	0.8	1.2
UK	1.0	0.4	0.9	0.5	1.8	1.4	1.7	1.0	1.0	1.6
Italy	0.4	0.7	0.7	0.8	1.1	1.0	1.0	0.8	0.8	0.7
Canada	2.3	1.4	1.6	2.2	2.0	2.1	2.0	0.7	1.9	1.9
Australia	2.0	1.6	1.5	2.1	2.1	2.1	2.1	1.9	2.1	2.0
Eurozone	0.4	0.8	1.2	1.4	1.5	1.5	1.4	0.5	1.3	1.2
Austria	0.4	1.2	1.4	1.4	1.5	1.6	1.5	0.9	1.4	1.3
Spain	1.0	1.7	1.3	1.8	2.1	2.0	2.0	2.2	1.7	-
Netherlands	1.0	1.0	1.2	1.4	1.7	1.5	1.5	1.2	1.3	1.5
Belgium	0.0	1.2	1.4	1.2	1.2	1.2	1.2	0.7	1.2	1.2
Greece	0.8	1.5	1.5	1.3	2.9	1.6	1.7	1.7	1.7	1.8
Portugal	1.3	1.3	1.6	2.0	2.0	2.0	2.0	2.0	1.8	-
Switzerland	0.4	0.6	1.2	1.2	1.6	1.6	1.2	0.9	1.2	1.5

Emerging Markets, (YoY% growth)

	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F	2028F
Bulgaria	2.7	2.6	2.3	2.3	2.5	2.5	2.7	2.6	2.5	-
Croatia	2.2	2.1	1.2	1.8	1.9	2.0	2.0	1.9	1.9	-
Czech Republic	2.2	1.9	1.8	2.3	2.4	2.5	2.5	2.0	2.4	2.5
Hungary	1.2	1.3	1.7	1.4	2.8	2.9	3.5	1.5	2.6	2.9
Poland	3.8	3.4	2.9	3.6	3.5	3.0	2.9	3.4	3.2	3.0
Turkey	2.7	3.1	3.6	3.7	3.9	4.0	4.3	3.0	4.0	4.0
Serbia	3.0	3.1	2.6	2.8	3.2	3.3	3.6	3.0	3.2	-
Azerbaijan	2.0	3.0	3.3	3.0	3.5	2.0	3.5	2.0	3.0	2.3
Kazakhstan	5.0	5.5	6.5	5.5	5.0	4.5	4.0	5.0	4.8	4.5
Russia	0.5	1.0	0.8	1.5	1.0	0.0	0.5	0.5	0.8	1.3
Uzbekistan	7.3	7.0	7.0	6.5	6.3	6.7	6.5	7.5	6.5	6.0
Ukraine	1.6	1.5	1.8	4.2	2.4	2.5	2.8	1.0	3.1	3.4
China	4.6	4.7	4.5	4.0	4.8	4.4	4.3	4.7	4.4	4.2
India	6.5	6.2	6.4	6.5	6.5	6.5	6.5	6.7	6.5	6.8
Indonesia	4.9	5.0	5.0	5.0	5.0	5.0	5.0	5.1	5.0	5.0
Korea	4.2	3.6	4.4	2.9	2.5	2.1	2.0	4.0	2.4	2.0
Philippines	3.5	5.5	6.0	5.5	5.5	5.5	5.5	4.5	5.5	6.0
Singapore	4.0	2.8	1.8	2.7	2.7	2.7	2.7	3.7	2.7	2.5
Taiwan	12.1	10.6	5.6	4.7	5.2	6.4	7.6	10.5	6.0	5.2

Norway: Forecasts are mainland GDP

Source: ING estimates

CPI Forecasts (pa)

YoY% (avg)	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F	2028F
US	2.7	3.9	3.6	3.6	3.2	2.1	2.2	2.2	3.4	2.4	2.0
Japan	1.4	1.6	1.8	1.9	2.4	2.6	2.3	2.0	1.7	2.3	2.1
Germany	2.2	2.7	3.0	3.1	2.6	2.1	1.9	2.0	2.7	2.0	1.9
France	1.1	2.6	2.2	2.2	2.2	1.9	1.6	1.5	2.0	1.8	1.5
UK	3.1	2.8	3.1	2.9	2.9	2.3	2.0	2.3	3.0	2.4	2.1
Italy	1.4	3.0	3.2	3.1	2.7	1.7	1.9	2.1	2.7	2.1	2.0
Canada	2.2	3.0	2.6	2.7	2.4	2.2	2.1	1.9	2.6	2.1	2.2
Australia	4.1	5.0	4.6	4.6	3.5	3.5	3.2	3.2	4.6	3.4	3.0
Eurozone	2.0	3.2	2.8	2.8	2.7	2.2	2.1	2.1	2.7	2.2	2.0
Austria	2.5	3.4	3.0	2.7	2.7	2.5	2.2	2.1	2.9	2.4	2.1
Spain	2.7	3.6	3.8	4.0	3.5	2.4	2.2	2.2	3.5	2.6	-
Netherlands	2.3	2.8	2.9	2.9	3.0	2.3	2.3	2.1	2.7	2.4	2.3
Belgium	1.4	3.8	3.6	3.6	3.3	2.5	2.0	1.8	3.1	2.4	1.8
Greece	3.1	4.7	4.8	4.4	3.9	2.5	2.3	2.2	4.2	2.7	2.2
Portugal	2.2	2.9	2.9	3.3	2.7	2.1	2.0	2.0	2.8	2.2	-
Switzerland	0.2	0.6	0.7	0.8	0.8	0.6	0.8	0.8	0.6	0.7	0.8
Bulgaria	3.6	6.4	4.6	4.8	4.5	2.1	2.5	2.6	4.9	2.9	-
Croatia	4.0	5.3	4.2	4.2	3.2	2.5	2.9	3.2	4.4	2.9	-
Czech Republic	1.6	2.1	1.4	2.0	2.6	2.3	2.7	2.6	1.8	2.5	2.2
Hungary	1.8	1.9	1.9	2.9	3.2	3.5	3.4	3.0	2.1	3.3	3.0
Poland	2.4	2.9	2.5	2.8	2.7	2.5	2.4	2.2	2.7	2.5	2.2
Turkey	30.9	32.2	29.4	28.5	25.4	22.3	21.2	21.0	30.6	22.6	20.0
Serbia	2.6	3.2	2.9	3.7	4.0	3.7	4.0	4.4	3.1	4.0	-
Azerbaijan	5.7	5.7	5.8	5.9	5.7	5.7	5.4	5.4	5.8	5.6	5.3
Kazakhstan	11.6	10.4	9.9	10.3	10.4	10.5	9.9	9.3	10.6	10.0	8.4
Russia	5.9	5.6	5.7	6.1	5.1	4.9	5.0	4.7	5.8	5.0	4.3
Uzbekistan	7.2	6.3	6.5	6.7	6.8	7.0	6.5	6.9	6.7	6.8	6.5
Ukraine	7.9	7.5	8.5	9.0	8.0	7.3	6.1	6.1	8.2	6.9	4.9
China	0.8	1.3	1.6	1.4	1.5	1.4	1.3	1.1	1.2	1.3	1.5
India	3.1	4.0	4.8	5.5	4.5	4.8	4.8	5.0	4.4	5.0	4.5
Indonesia	3.9	2.7	2.7	2.7	2.5	2.5	3.0	3.0	3.0	2.5	2.5
Korea	2.1	3.1	3.4	3.3	3.1	2.3	2.0	1.7	3.0	2.3	1.8
Philippines	2.8	7.4	7.2	6.5	3.5	3.5	3.5	3.5	6.0	3.5	3.0
Singapore	1.5	2.2	2.4	2.0	2.0	2.0	2.0	2.0	2.1	2.0	2.0
Taiwan	1.2	2.2	2.6	2.5	2.2	1.7	1.3	1.5	2.1	1.6	1.8

*Quarterly forecasts are quarterly average; yearly forecasts are average over the year, HICP for Eurozone economies

Source: ING estimates

Oil and natural gas forecasts (avg)

	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F	2028F
Brent (\$/bbl)	78	97	80	74	72	68	70	70	82	70	70
Dutch TTF (EUR/MWh)	40	46	45	48	40	32	31	32	45	34	27

Source: ING estimates

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